



Employee Handbook

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Welcome

Welcome to the Smallwood's family. We are so glad you have decided to join us, and we are looking forward to getting to know you. For those who have been with Smallwoods for a while, thank you for helping to make this a great place to work.

We believe Smallwoods is one of the best places in East Texas to work because of our culture. And culture is nothing more than the attitudes and actions of our people. We live by our core values which are not just good ideas and sayings, but beliefs that we firmly hold to and live out each day. They are:

FAMILY	As with any healthy family, we honor teamwork that's built on our relationships with our coworkers and a respect for authority.
HUMILITY	We value attitudes that are teachable with a desire to continually learn and improve, recognizing and correcting our mistakes and understanding that we all make mistakes.
INTEGRITY	It is imperative that those we work with can rely on us by being dependable, honest and do what we say we are going to do.
DRIVEN	We work hard and have fun. And we expect our people to be productive and competent by taking initiative and using their time wisely.
GENEROSITY	We place the success of our team above our individual success by going the extra mile to help others and being generous with our time, knowledge, and resources.

I want to extend my personal best wishes for success and happiness here at Smallwoods. We understand that it is you who makes our company great, and we hope you will agree that Smallwoods is the best place to work ever.

Eric Swanson
Director of People

Introduction

The purpose of this Employee Handbook (the "Handbook") is to provide you ("you" or the "employee") with a general understanding of the personnel policies Smallwood Management Company, LLC and our associated companies, including Smallwood Construction, Inc., Smallwood Hospitality Real Estate, LLC, JHS Real Estate, LLC, Smallwood Equipment, LLC, Smallwood Family Holdings, LLC, Smallwood Ranch, LLC, SmallwoodHome.com, LLC, Sparrow Project, LLC, Smallwood Media, LLC, Smallwood Hospitality, LLC, 80 Acre Market Operating, LLC, S5 259 Ventures, LLC, S5 1650 Market Real Estate, LLC, S5 Aviation, LLC, and S5 Kilgore Real Estate, LLC. ("Smallwoods" or "Company") You are required to familiarize yourself with its contents, as it will answer many questions concerning your employment at Smallwoods. However, this Handbook cannot anticipate every situation or answer every question about employment.

For us to have the necessary flexibility to respond to our rapidly changing work environment, Smallwoods reserves the right to make changes to this handbook and to any employment policy, practice, work rule, or benefit, at any time without prior notice.

Policies set forth in this Handbook are not intended to create a contract, nor are they to be construed to constitute contractual obligations of any kind or a contract of employment between the Company and any of its employees. The provisions of the Handbook have been developed with great thought by management and, except for its policy of employment-at-will, may be amended or cancelled at any time, at the Company's sole discretion.

Many matters covered by this handbook, such as benefit plan descriptions, are also described in separate Company documents. These Company documents are always controlling over any statement made in this handbook or by any member of management.

Please note: This handbook specifically addresses the laws pertaining to employees who work within the State of Texas. For employees in other states, the laws and regulations pertaining to those states will prevail over any contrary terms in this handbook. Employees should contact the People Department for more information about laws & regulations pertaining to their states, if not addressed in this handbook.

Nothing in this Handbook is intended or should be construed to chill the exercise of rights under the National Labor Relations Act to engage in concerted activities for the purpose of collective bargaining or other mutual aid or protection, such as employee communications regarding wages, hours, or other terms and conditions of employment. If you have any concerns or suggestions related to this Handbook, you are encouraged to discuss them with your supervisor or our Director of People.

This handbook replaces all earlier handbooks and supersedes all prior inconsistent policies, practices, and procedures, is the property of the Company, and is intended for the personal use and reference by employees of the Company.

Employees must sign the acknowledgement form at the end of this handbook, tear it out, and return it to the People Department (or if delivered via an electronic format: click on the box as indicated, type their name and the date, as applicable, and hit "enter"). This will provide the Company with a record that each employee has received, read, and understood this handbook.

Employment At-Will

Employment with Smallwoods is voluntarily entered into and is at will. Accordingly, either you or Smallwoods may terminate the employment relationship at any time, with or without cause, and with or without notice, except as otherwise provided by federal or state law. Employees also may be demoted or disciplined, and the terms of their employment may be altered at any time, with or without cause, at the discretion of the Company. No one other than an officer of the Company has the authority to alter this arrangement, to enter into an agreement for employment for a specified period, or to make any agreement contrary to this at-will status. Any such agreement must be in writing, must be signed by an officer of the Company, and must express a clear and unambiguous intent to alter the at-will nature of the employment relationship.

Nothing contained in this Handbook, or any other documents provided to employees is intended to be, nor should it be, construed as a guarantee that employment (or any benefit) will be continued for a specific period. For example, any salary figures provided to an employee in annual or monthly terms are stated for the sake of convenience. They are not intended to create an employment contract for one or more months. Employees should ask the Director of People if they have any questions about their status as an employee at-will.

Equal Employment Opportunity

It is the Company's policy to provide equal employment opportunities for all applicants and employees. The Company does not unlawfully discriminate on the basis of actual or perceived race, color, religion, religious creed (including religious dress and religious grooming practices), sex (including pregnancy, perceived pregnancy, childbirth, breastfeeding, or related medical conditions), gender, gender identity (including transgender identity, status and transitioning), gender expression and sex stereotyping, national origin, ancestry, citizenship, age, physical or mental disability, legally protected medical condition or information (including genetic information), family care or medical leave status, military caregiver status, military status, veteran status, marital status, domestic partner status, sexual orientation, status as a victim of domestic violence, sexual assault or stalking, enrollment in a public assistance program, engaging in protected communications regarding employee wages, requesting a reasonable accommodation on the basis of disability or bona fide religious belief or practice, or any other basis protected by local, state, or federal laws. Consistent with the law, the Company also makes reasonable accommodations for disabled applicants and employees; for pregnant employees who request an accommodation with the advice of their health care providers, for pregnancy, childbirth, or related medical conditions; for employees who are victims of domestic violence, sexual assault, or stalking; and for applicants and employees based on their religious beliefs and practices.

The Company will endeavor to accommodate the sincere religious beliefs of its employees to the extent such accommodation does not pose an undue hardship on the Company's operations. If employees wish to request such an accommodation, they should contact the People Department.

The Company prohibits sexual harassment and the harassment of any individual on any of the other bases listed above. For information about the types of conduct that constitute impermissible harassment and the Company's internal procedures for addressing complaints of harassment, and the legal remedies available through and complaint procedures of the appropriate state and federal agencies and directions on how to contact these agencies, please refer to the Company's Policy Against Harassment, Discrimination, and Retaliation in this Handbook.

This policy applies to all areas of employment including recruitment, hiring, training, promotion, compensation, benefits, transfer, disciplinary action, and social and recreational programs. It is the responsibility of every manager and employee to conscientiously follow this policy. Any employee having any questions regarding this policy should discuss them with the People Department.

Complaint Procedure - If any employee believes that this policy is not being appropriately implemented, the employee should promptly contact their immediate supervisor, the next level of supervision, the Director of People, Manager, or the CEO.

Applicants and Employees with Disabilities

The Company is committed to providing equal employment opportunities for all qualified individuals with disabilities in accordance with the federal Americans with Disabilities Act and applicable State disability laws. In accordance with these laws, The Company strictly forbids all forms of unlawful discrimination, harassment, or retaliation against qualified applicants or employees with disabilities, and for pregnant employees who so request for pregnancy, childbirth, or related medical conditions, and requires reasonable accommodation if necessary for such individuals to perform the essential functions of their jobs safely and efficiently without undue hardship to The Company and without serious risk to the health and safety of others.

Applicants and employees who require accommodation of any disability should inform the People Department of their needs. The Company may have no way of knowing whether an individual requires accommodation unless they bring it to the attention of The Company. The Company will engage in an interactive conversation to determine if there is a reasonable accommodation that can be provided that will not cause The Company undue hardship and will treat all such information as confidential to protect privacy rights under laws such as HIPAA, but some disclosure will be necessary to fulfill the purposes of this policy.

Employees who are made aware that an applicant or employee has a disability should presume that the information is confidential and discuss it only with upper management and Director of People unless the employee has disclosed or consented to further disclosure.

Discrimination, harassment, or retaliation against an individual because they are considered disabled or has been given accommodation for a disability is absolutely forbidden and grounds for immediate termination. Employees who believe they have been harassed in violation of this policy may file a complaint under The Company's policy on Equal Employment Opportunity.

Policy Against Harassment, Discrimination, and Retaliation

I. Purpose of Policy

The Company is committed to providing a workplace free of unlawful harassment and discrimination. This includes sexual harassment (which includes harassment based on pregnancy, perceived pregnancy, childbirth, breastfeeding, or related medical conditions) and harassment based on actual or perceived gender, gender identity (including transgender identity, status and transitioning), gender expression and sex stereotyping, as well as harassment based on such factors as race, color, religion, religious creed (including religious dress and religious grooming), national origin, ancestry, citizenship, age, physical or mental disability, legally-protected medical condition or information (including genetic information), family care or medical leave status, military caregiver status, military status, veteran status, marital status, domestic partner status, sexual orientation, status as a victim of domestic violence, sexual assault or stalking, enrollment in a public assistance program, engaging in protected communications regarding employee wages, requesting a reasonable accommodation on the basis of disability or bona fide religious belief or practice, or any other basis protected by federal, state, or local laws. The Company strongly disapproves of and will not tolerate harassment of or discrimination against applicants, employees, interns, or volunteers by managers, supervisors, co-workers or third parties with whom employees come into contact. Similarly, the Company will not tolerate harassment by its employees of non-employees with whom the Company employees have a business, service, or professional relationship.

II. Harassment Defined

Harassment includes verbal, physical, and visual conduct that creates an intimidating, offensive, or hostile working environment or that interferes with an employee's work performance. Such conduct constitutes harassment when (1) submission to the conduct is made either an explicit or implicit condition of employment; (2) submission or rejection of the conduct is used as the basis for an employment decision; or (3) the harassment interferes with an employee's work performance or creates an intimidating, hostile, or offensive work environment.

Harassing conduct can take many forms and may include, but is not limited to, the following: slurs, jokes, insults, statements, gestures, teasing, assault, impeding or blocking another's movement or otherwise physically interfering with normal work, pictures, posters, symbols, drawings, or cartoons, violating someone's "personal space" (for example by blocking someone's way) foul or obscene language, leering, stalking, staring, unwanted or offensive letters or poems, offensive email or voicemail messages, or any kind of verbal, visual or physical conduct that denigrates or shows hostility or aversion towards an individual because of any protected characteristic.

Sexually harassing conduct may include all of these prohibited actions, as well as other unwelcome conduct, such as requests for sexual favors, conversation containing sexual comments, and other unwelcome sexual advances. Sexually harassing conduct can be by a person of either the same or opposite sex. Sexually harassing conduct need not be motivated by sexual desire to be violative of this policy.

III. Reporting and Investigating Harassing, Discriminatory, and Retaliatory Conduct

All employees, independent contractors, interns, and volunteers of the Company must promptly report any incidents of harassment, discrimination, and retaliation so that the Company can take appropriate action.

A. Complaint Reporting Process

It is the responsibility of all of us to contribute to a work environment that is free of unlawful bias, discrimination, harassment, and retaliation. Failure to bring forth a complaint prevents the Company from having the opportunity to correct the situation.

Any incidents of discrimination, harassment, or retaliation, including work-related harassment by any Company personnel or any other person, or any conduct believed to violate this policy, must be reported immediately to the Director of People, who is responsible for investigating harassment complaints. An individual is not required to bring a complaint to Director of People if the individual is uncomfortable doing so for any reason. In that case, complaints should be reported to your supervisor or the CEO.

Managers and supervisors have a special responsibility under this policy. All levels of management and all supervisors are responsible for compliance with this Policy Against Harassment, Discrimination, and Retaliation AND for ensuring that everyone in their department is aware of, understands and adheres to this policy. Supervisors and managers who receive complaints or who observe or learn of discriminatory, harassing, or retaliatory conduct must immediately inform Director of People so that an investigation may be initiated.

In addition to notifying the Company about harassment or retaliation complaints, affected employees may also direct their complaints to the Texas Workforce Commission ("TWC") Civil Rights Division, which has the authority to conduct investigations of the facts. The deadline for filing complaints with the TWC is 180 days from the date of the alleged unlawful conduct and must be one or more of the following types of complaints: race, color, national origin, religious, sex, age, or disability, and must identify employment harm such as demotion, denial of promotion, or termination. Employment Discrimination Complaint forms may be submitted online via the TWC by visiting www.twc.texas.gov.

IV. Corrective Action

The Company prohibits conduct severe enough to be unlawful. Yet even more, the Company's workplace conduct standards also prohibit conduct and comments which are not severe enough to violate state or local or federal law—but which are still inappropriate in the workplace. For example, the Company prohibits abusive conduct in the workplace—whether or not it is based on a protected category.

As a result, the Company will take prompt, appropriate, and effective corrective action (e.g., remedial measures) any time it is established that discrimination, harassment, or retaliation in violation of this policy has occurred—whether or not such violation also violates the law.

Corrective action may include, for example: training, referral to counseling, or disciplinary action ranging from a verbal or written warning to termination of employment, depending on the circumstances. With regard to acts of harassment or discrimination by customers or vendors, corrective action will be taken after consultation with the appropriate management personnel.

The Company will not tolerate retaliation against any employee for making a good faith complaint of harassment, discrimination, or retaliation, or for cooperating in an investigation.

V. Anti-Harassment Training

Every Company employee is required to undergo Sexual Harassment training within their first three (3) months of employment and at least once every two (2) years thereafter. In addition, all employees hired as or promoted to a supervisory or management position must undergo at least two (2) hours of interactive sexual harassment training within the first six (6) months of assuming a new supervisory or management position. Additionally, all supervisors and managers must complete at least two (2) hours of interactive sexual harassment training at least once every two (2) years thereafter. An employee who fails to comply with this section may be subject to disciplinary action, up to and including termination of employment.

VI. Zero Tolerance

The Company does not tolerate and prohibits discrimination, harassment or retaliation of or against job applicants, contractors, interns, volunteers or employees by another employee, supervisor, vendor, customer or any third party on the basis of race, color, creed, religion, age, sex or gender (including pregnancy, childbirth and related medical conditions), sexual orientation, gender identity or gender expression (including transgender status), national origin, ancestry, marital status, protected medical condition as defined by state law (cancer or genetic characteristics), physical or mental disability, military and veteran status, genetic information, or any other characteristic protected by applicable federal, state or local laws and ordinances. Smallwoods is committed to a workplace free of discrimination, harassment, and retaliation.

Our management team is dedicated to ensuring the fulfillment of this policy as it applies to all terms and conditions of employment, including recruitment, hiring, placement, promotion, transfer, training, compensation, benefits, employee activities and general treatment during employment.

Introductory Period

The Company attempts to hire the most qualified employees for each position. To ensure this, the Company provides an introductory period of employment for the employee to assess the Company and the job content, and for the Company to evaluate the new employee and their job performance. All new employees must complete to the Company's satisfaction a 90-day introductory period beginning with the date of initial employment. Consistent with the Company's Employment at Will policy, during the introductory period, an employee may be discharged by the Company for any reason and without advance notice. Similarly, the employee may resign employment for any reason without advance notice during this period.

If Smallwoods determines that the Introductory Period does not allow sufficient time to thoroughly evaluate the employee's performance, the Introductory Period may be extended for a specified period. After completion of the introductory period, certain employees will be eligible for PTO. Successful completion of the Introductory Period does not affect the employment status of an employee being "at-will", meaning that the employment relationship may be terminated for any reason, at any time, with or without notice, by either party, as permitted by law.

Generally, employees will not be eligible for certain employee benefits, including bonuses until they complete the Introductory Period, including extended Introductory Periods.

Proof of Right to Work

The Company is committed to full compliance with the federal immigration laws. The Company will not knowingly hire or continue to employ anyone who does not have the legal right to work in the United States. As a condition of employment, all employees are required to complete a DHS Employment Eligibility Verification form (Form I-9) and present acceptable documentation verifying their identity and right to work in the United States in accordance with federal and State immigration law.

Employment of Minors

The Company may ask for a certificate of age from prospective and current employees who are 16 to 17 years old. The minor must apply to the TWC for a certificate and provide documentary proof of age, such as a birth or baptismal certificate, life insurance policy or passport. Certificates are effective until the minor turns 18.

The Company will not employ any person under the age of 16. The duties and days and hours of work by minors are restricted by the terms and conditions of the provisions of Texas and federal law. All employees who are 16 to 17 years old will be restricted to Line Operator duties. Texas law does not restrict the hours of 16- and 17-year-olds.

Employment of Relatives

Relatives of present employees may be hired by the Company only if (1) the individuals concerned will not work in a direct supervisory relationship with one another, and (2) the employment will not pose difficulties for supervision, security, safety, or morale. However, if an established employee is inconsistent with this language in their current job assignment, which has been historically allowed by the Company, they shall be "grandfathered", i.e., excluded, from this language. Further, they may also be excluded from this language if approved by the Director of People. "Relatives" are defined as spouses, children, sisters, brothers, mothers, or fathers.

Non-Fraternization

To promote the efficient operation of the Company's business and to avoid misunderstandings; complaints of favoritism; other problems of supervision, security, and morale; and possible claims of sexual harassment, managers and supervisors are forbidden from dating or pursuing romantic or sexual relationships with employees whom they supervise, directly or indirectly. Employees who violate this guideline will be subject to discipline, up to and including termination of employment.

Employment Applications

The Company relies upon the accuracy of information provided by an applicant in the employment application, as well as the accuracy of other data presented throughout the hiring process and employment. Any misrepresentation, falsification, or material omission by an applicant in any of this information or data may result in revocation of any offer or immediate termination of employment, regardless of when it is discovered.

Background Checks

All potential employees are subject to a criminal background check, as well as a drug test. Background checks and drug tests will be administered in accordance with state and federal law.

Job Descriptions

Smallwoods seeks to maintain accurate job descriptions for all positions within its organization for the purpose of identifying the requirements of each position, establishing hiring criteria, setting standards for employee performance evaluations, and establishing a basis for making reasonable accommodations for individuals with disabilities.

Existing job descriptions are also reviewed and revised from time to time to ensure that they are up to date. All employees are expected to help ensure that their job descriptions are accurate and current, reflecting the work they are performing.

Employees should be aware that job descriptions do not necessarily cover every task or duty that might be assigned, and that additional responsibilities may be assigned as necessary by Smallwoods.

Rehire Eligibility and Service Recognition

Where business needs dictate, it is the policy of the Company to rehire former employees who: a) voluntarily left company employment or b) were laid off due to business slowdown(s). To be eligible for rehire, former employees must have possessed a satisfactory record of service. This policy sets forth the company's philosophy governing eligibility for reemployment and associated bridging of service (service recognition), where appropriate.

I. Eligibility for Rehire

Employees who completed their company introductory period and who were part of a reduction in force, as well as those employees who voluntarily resigned, will be eligible for rehire as long as they had a satisfactory work record while employed by the Company.

II. Ineligibility for Rehire

Former employees who had a less-than-satisfactory work record appropriately noted at termination as not being eligible for rehire are excluded from rehire consideration.

Employees who were involuntarily terminated by the Company or who were laid off (with a less-than-satisfactory work record) or who failed to complete their company introductory period will not be considered for rehire.

III. Service Restoration Rules for Eligible Employees

If a former employee with less than one year's prior service is rehired, the employee will be considered a new employee and will not be eligible for prior service recognition for seniority or benefits plan participation purposes.

If a former employee with more than one year's prior service is rehired, the employee's seniority and eligibility to participate in company benefits plans will be bridged if the employee is rehired and the period of prior company service exceeded the duration of the period of absence. Service recognition will include prior service recognition for accrued leave plans.

If a former employee with more than one year's prior service is rehired and the duration of the period of absence exceeded the period of prior company service, the employee will be considered a new employee and will not be eligible for prior service recognition for seniority or benefits plan participation purposes.

IV. Rehire Service Date Adjustment

When recognition of prior service is granted, a rehired employee's company service date will be adjusted in accordance with the service restoration rule.

Conflicts of Interest

Employees are expected to devote their best efforts and attention to the full-time performance of their jobs. Moreover, employees are expected to use good judgment, to adhere to high ethical standards, and to avoid situations that create an actual or potential conflict between their personal interests and the legitimate business interests of the Company. A conflict of interest exists when the employee's loyalties or actions are divided between the Company's interests and those of another, such as a competitor, supplier, or customer. Both the fact and the appearance of a conflict of interest should be avoided. Employees unsure as to whether a certain transaction, activity, or relationship constitutes a conflict of interest should discuss it with their immediate supervisor or the Director of People for clarification. Any exceptions to this guideline must be approved in writing by the Company's CEO.

While it is not feasible to describe all possible conflicts of interest that could develop, some of the more common conflicts that employees should avoid include the following:

- (1) Accepting personal gifts or entertainment from competitors, customers, suppliers, or potential suppliers;
- (2) Working for a competitor, supplier, or customer;
- (3) Engaging in self-employment in competition with the Company;
- (4) Using proprietary or confidential Company information, such as Company trade secrets, for personal gain or to the Company's detriment;

- (5) Having a direct or indirect financial interest in or relationship with a competitor, customer, or supplier;
- (6) Using Company property or labor for personal use;
- (7) Acquiring any interest in property or assets of any kind for the purpose of selling or leasing it to the Company;
- (8) Committing the Company to give its financial or other support to any outside activity or organization; or
- (9) Developing a personal relationship with a subordinate employee of the Company or with an employee of a competitor, supplier, or customer that might interfere with the exercise of impartial judgment in decisions affecting the Company or any employees of the Company.

If an employee or someone with whom an employee has a close relationship (e.g., a family member or close companion) has a financial or employment relationship with a competitor, customer, supplier, or potential supplier, the employee must disclose this fact in writing to the People Department. Employees should be aware that if they enter into a personal relationship with a subordinate employee or with an employee of a competitor, supplier, or customer, a conflict of interest may exist, which requires full disclosure to the Company. Part-time employees may engage in outside employment, provided they disclose such employment and get written approval from their immediate supervisor.

Failure to adhere to this guideline, including failure to disclose any conflicts or to seek an exception, may result in discipline, up to and including termination of employment.

Open Door Policy

The Company has a specific procedure detailed in the separate Policy Against Harassment, Discrimination, and Retaliation that should be used to report concerns or complaints related to possible sexual harassment, or other forms of harassment, discrimination, or retaliation based on a protected category. Separately, the Company has an Open Door Policy that encourages employees to participate in decisions affecting them and their daily professional responsibilities. Employees who have job-related concerns or complaints are encouraged to discuss them with their supervisor or any other management representative with whom they feel comfortable. The Company believes that employee concerns are best addressed through this type of informal and open communication.

Employees are encouraged to raise work-related concerns with their immediate supervisor, or with a supervisor or other management representative of their choice, as soon as possible after the events that cause the concern. Employees are further encouraged to pursue discussion of their work-related concerns until the matter is fully resolved. Although the Company cannot guarantee that in each instance the employee will be satisfied with the result, the Company will attempt in each instance to explain the result to the employee if the employee is not satisfied. The Company will also attempt to keep all such expressions of concern, the results of any investigation, and the terms of the resolution confidential. In the course of investigating and resolving the matter, however, some dissemination of information to others may be necessary or appropriate. No employee will be disciplined or otherwise penalized for raising a good-faith concern.

Employees who conclude that work-related concerns should be brought to the attention of the Company by written complaint and formal investigation may avail themselves of the "Employee Complaint Reporting Procedure" set forth in this Handbook/Manual.

Employee Complaint Reporting Procedure

I. Purpose and Scope

The purpose of this Procedure for Reporting Employee Complaints is to establish a process for all employees of the Company to use to notify the Company of their work-related concerns, and to give the Company the opportunity to learn about, address, and resolve the complaint. This policy is intended to supplement the Open Door Policy set forth in this Handbook/Manual, which states the Company's philosophy that all employees have free access to their immediate supervisors or to other Company supervisors of their choice to informally express their work-related concerns. As noted in the Open Door Policy, the Company has a specific procedure detailed in its Policy Against Harassment, Discrimination, and Retaliation that should be used to report concerns or complaints related to possible sexual harassment, or other forms of harassment, discrimination, or retaliation based on a protected category.

Importantly, when the nature of the concern pertains to an actual or suspected violation of the law, or an ethical violation, including under the Company's Rules of Conduct and/or ethics and business code, all employees, directors, and officers of the Company are required to file a complaint using the procedure below. This includes reporting any activity that is considered by the person making the complaint to be illegal or dishonest. Examples of illegal and dishonest activities are violations of federal, state, or local laws; billing for services not performed or for goods not delivered; and other fraudulent financial reporting. Any questions regarding whether a concern is subject to this mandatory reporting policy should be resolved in favor of filing the complaint.

II. Procedure

A. Filing of Complaint

Individuals should file written complaints with the Director of People as soon as possible after the events that give rise to the work-related concerns. The written complaint should set forth in detail the bases for the complaint.

Alternative reporting method: If, for any reason, an individual would prefer not to discuss the subject of the concern with the individual identified above, then they must report the concern by written notice as soon as possible to the CEO.

B. Investigation

The People Department will date and log all written complaints and send the employee an acknowledgment that the complaint is under review.

The People Department or their designee will investigate the complaint, meeting separately with the employee and with others who either are named in the complaint or who may have knowledge of the facts set forth in the complaint. The Company will attempt to treat all internal complaints and their investigation as confidential, recognizing, however, that while investigating and resolving internal complaints some dissemination of information to others may be necessary or appropriate.

On completion of the investigation, the People Department will orally report its findings and conclusions to the employee. If the complaint is resolved to the employee's satisfaction, the terms of the resolution should be recorded and signed by both the employee and a representative of the People Department.

C. Appeal

If the complaint is not resolved to the employee's satisfaction, the employee may submit a written request for review of the complaint to the Director of People. On completion of the appeal review, the employee should receive an oral explanation of the conclusion reached and the reasons for that conclusion. Decisions resulting from appeal reviews will be final.

D. Non-Retaliation

The Company will not tolerate retaliation against individuals for: reporting a good faith concern under this policy; participating in or cooperating in any internal investigations of reported concerns; or otherwise engaging in conduct protected by law. Prohibited retaliation can be adverse employment actions, like termination, compensation decreases, or poor work assignments, or even threats of physical harm.

Such retaliation is a separate violation of Company policy. It also may violate applicable law. (For example, a complaint may qualify as protected "whistleblowing" under an applicable law that prohibits retaliation due to whistleblowing).

Anyone who believes that they have been retaliated against for reporting a good faith concern, for participating in or cooperating in an internal investigation of a concern, or for exercising their rights, or otherwise engaging in conduct protected by law, should immediately notify the Company using the same Procedure described above.

E. Defend Trade Secrets Act Notice

Pursuant to the Defend Trade Secrets Act, an individual shall not be held criminally or civilly liable under any federal or state trade secret law for the disclosure of a trade secret that (A) is made (i) in confidence to a federal, state, or local government official, either directly or indirectly, or to an attorney; and (ii) solely for the purpose of reporting or investigating a suspected violation of law; or (B) is made in a complaint or other document filed in a lawsuit or other proceeding, if such filing is made under seal. If an employee files a lawsuit for retaliation by the Company for reporting a suspected violation of law, the employee may disclose the trade secret to the employee's attorney and use the trade secret information in the court proceeding, if the employee (A) files any document containing the trade secret under seal; and (B) does not disclose the trade secret, except pursuant to court order. In the event that disclosure of Company trade secrets was not done in good faith pursuant to the above, the employee may be subject to substantial damages, including punitive damages and attorneys' fees.

Performance and Pay Reviews

Smallwoods staff is strongly encouraged to discuss job performance and goals on an informal, day-to-day basis.

Additional formal performance evaluations are conducted to provide both supervisors and employees the opportunity to discuss job tasks, identify and correct weaknesses, encourage, and recognize strengths, and discuss positive, purposeful approaches for meeting goals.

Performance evaluations are scheduled annually, on or near the employee's anniversary date with Smallwoods.

I. Compensation Adjustments

Merit-based pay adjustments may be awarded by Smallwoods and are based upon numerous factors, including the information contained within formal performance evaluations and disciplinary files. There are many other factors, i.e., economy, budget, performance, maximum pay for the position, etc., that may affect the decision for any pay adjustment. Such compensation decisions are made by Smallwoods in its sole discretion, on a case-by-case basis. Employees should not assume that pay increases will be awarded, or that it is automatic.

Employee Classifications

It is the policy of the Smallwoods to abide by all regulations regarding the proper classification of job positions as Exempt or Nonexempt from Wage and Hour overtime regulations and for the administration of payroll procedures for hourly paid employees, in accordance with the Fair Labor Standards Act ("FLSA"), as well as all other applicable federal, state, and local laws. Furthermore, it is the policy of the Company to maintain an internal classification of employees for purposes of benefits administration and payroll record keeping.

I. Introductory Employees

The term "introductory employees" is sometimes used in this Handbook/Manual to refer to those employees who are within their introductory period, i.e., the first 90 days of employment with the Company. At the Company's discretion, the introductory period may be extended for an additional period.

II. Regular Full-Time Employees

An employee who successfully completes the introductory period (including any extension) and is regularly scheduled to work a minimum of thirty (30) hours per week on a routine basis for a period of indefinite duration, is referred to as a regular full-time employee.

III. Regular Part-Time Employees

An employee who successfully completes the introductory period (including any extension), and regularly scheduled to work less than 30 hours per week for a period of indefinite duration, is referred to as a regular part-time employee. The determination of part-time status will be based on an employee's actual work hours over a rolling 12-month period, as well as a pattern of work hours over consecutive pay periods.

Part-time employees are not eligible for certain benefits, including but not limited to Health, Vision, and Dental Insurance, 401k Retirement Plan and Disability Insurance. In some cases, Regular Part-Time Employees may be eligible to participate in the Company 401K Retirement Plan.

IV. Seasonal Employees

Seasonal employees are employees who are hired to work for the winter season which is October through December. Seasonal employees are not eligible for employee benefits such as PTO or health benefits.

V. Exempt/Nonexempt Employees

Exempt employees, by definition, are exempt from earning overtime compensation and generally receive the same weekly salary regardless of hours worked. Nonexempt employees are eligible to be

paid for overtime work when employees in such positions work over forty (40) hours in the workweek. Overtime work for Nonexempt employees must be expressly authorized in advance by the employee's supervisor. Overtime pay requirements are set forth in the section of this Handbook/Manual entitled "Hours of Work, Overtime, and Pay Day". Employees will be informed of these classifications upon hire and informed of any subsequent changes to the classifications.

VI. Salaried Employees

Salaried employees are employees who are paid a fixed amount on a periodic basis and not by the hour. Salaried employees are generally Exempt employees.

VII. Hourly Employees

Hourly employees are employees whose wages are paid by the hour. Their wages fluctuate according to the number of hours they work. Hourly employees are generally Nonexempt employees.

VIII. Change in Employment Status

The Company may change the employment classification of any employee at any time based on the nature of the employment assignment.

Hours of Work, Overtime and Pay Day

I. Hours of Work

Company business hours vary from 8 a.m. to 5 p.m., Sunday through Friday. Employees will be assigned a work schedule and will be expected to begin and end work according to the schedule. To accommodate the needs of the business, at some point the Company may need to change individual work schedules on either a short-term or long-term basis.

II. Meal and Rest Periods

A. Rest Periods

Every full-time employee is eligible for a fifteen-minute, off duty paid rest break, every 2 hours.

B. Meal Periods

Every employee has an unpaid thirty (30) minute meal break during the workday. Nonexempt employees must clock out prior to taking such meal break and clock in prior to returning to work. Nonexempt employees are not permitted to perform work during their meal break periods and are not allowed to work through the meal break or take a short meal break unless approved by supervisor. Employees who record their time manually must accurately record their meal periods by recording the beginning and end of each work period.

III. Overtime Pay

A. Overtime Definition and Rates of Pay

All nonexempt employees are eligible for overtime pay at one and one-half (1 ½) times their regular rate of pay for every hour actually worked over forty (40) hours in a workweek, or as required by state law.

Overtime will be computed on actual minutes worked, adjusted to the nearest 15-minute increment. Only those hours that are actually worked are counted to determine an employee's overtime pay. Paid Time Off ("PTO") and holidays are not included in determining hours worked.

Compensated holidays, for example, are not hours worked and therefore are not counted in making overtime calculations unless the employee actually worked on the holiday.

B. Workweek and Workday

Unless otherwise provided, for purposes of calculating overtime, each workweek begins on Sunday and each workday is a 24-hour consecutive period which begins at 12:00 a.m.

C. Pre-Authorization

Overtime must be approved by the Employee's Production Manager, absent an emergency. During busy periods, the employer may require employees to work extended hours. Nonexempt employees who fail to obtain approval prior to working hours that extend beyond their normal 8-hour workday or 40-hour workweek will be subject to disciplinary action. Overtime offenses may result in termination.

IV. Other Types of Pay

A. Travel Time for Non-Exempt Employees

Non-exempt employees are paid for travel time in accordance with state law.

B. Shift Premium

The shift differential policy allows for extra compensation to nonexempt employees who are scheduled on a regular, rotating, or sporadic basis to work certain shifts. For the purposes of this policy the company defines the following shifts:

First shift – Generally, begins at 5:00 a.m. and ends at 1:30 p.m.

Second shift – Generally, begins at 1:00 p.m. and ends at 9:30 p.m.

Third shift – Generally, begins at 9:00 p.m. and ends at 5:30 a.m.

Second Shift hours and Third Shift hours will be compensated at an additional \$0.50 to \$2.00 per hour as determined by Smallwoods. Shift differentials will be included when determining the rate of pay for overtime hours.

1.Compensation During Leave

If the employee has a permanent evening or night schedule, paid vacation and sick and personal leave taken will be paid at an average of the employee's regular rate and differentials. Employees who are on a rotation or sporadic shift schedule will be paid the regular rate when taking paid leave.

2.Holiday Pay

Holiday pay will be paid at the regular rate. Shift differentials will not be added to holiday pay.

3.Other Paid Leave

There may be times when the company may close due to unexpected situations such as inclement weather or other reasons beyond the Company's control. Smallwoods may choose to provide paid administrative leave during these times. Company administrative leave will be paid at the employee's regular rate. Shift differentials will not be added to Smallwoods personal leave. Personal leave will not be included as hours worked in overtime calculations.

C. Holiday Pay

Eligible employees are paid their regular straight-time wages for Company-paid holidays as set forth under the policy entitled "Holidays." To receive holiday pay, the employee generally must work the regularly scheduled workdays preceding and following the Company holiday or receive prior approval from their supervisor to take the time off. Nonexempt employees who work during a Company-paid holiday are paid as set forth under the policy entitled "Holidays" in this handbook.

D. Pay Advances

The Company does not provide pay advances.

V. Safe Harbor Policy for Exempt Employees

It is the Company's policy and practice to accurately compensate employees and to do so in compliance with all applicable state and federal laws. To ensure employees are paid properly and no improper deductions are made, employees must review their pay stubs promptly to identify and to report all errors.

If the employee believes a mistake has occurred or if the employee has any questions, the employee should use the reporting procedure outlined below.

Exempt salaried employees receive a salary which is intended to compensate for all hours worked for the Company. This salary will be established at the time of hire or when the employee becomes classified as an exempt employee. While it may be subject to review and modification from time-to-time, such as during salary review times, the salary will be a predetermined amount that will not be subject to deductions for variations in the quantity or quality of the work performed.

Under state law, salary is subject to certain deductions. For example, the employee's salary can be reduced for the following reasons:

- full-day absences for personal reasons;
- full-day absences for sickness or disability, if the available paid sick leave has been exhausted;
- intermittent absences, including partial-day absences, covered by the federal Family and Medical Leave Act, if other available paid leave has been exhausted;
- to offset amounts received as payment for jury and witness fees or military pay;
- during the first or last week of employment in the event the employee works less than a full week; and
- any work week in which the employee performs no work for the Company.

Salary also may be reduced for certain types of deductions, such as the employee portion of health, dental or life insurance premiums; state, federal or local taxes, social security; or, voluntary contributions to a 401(k) or pension plan.

In any workweek in which the employee performed any work, the employee's salary will not be reduced for any of the following reasons:

- partial-day absences for personal reasons, sickness or disability;
- absence on a holiday when the facility is closed or because the facility is otherwise closed on a scheduled workday;
- absences for jury duty, attendance as a witness or military leave in any week in which the employee has performed any work; and any other deductions prohibited by state or federal law.

If employees believe they have been subject to any improper deductions, they should immediately report the matter to the Director of People. If the Director of People is unavailable or if employees believe it would be inappropriate to contact that person (or if they have not received a prompt and fully acceptable reply), they should immediately contact the CEO.

Every report will be fully investigated, and corrective action will be taken where appropriate, up to and including termination for any employee who violates this policy. In addition, the Company will not allow any form of retaliation against individuals who report alleged violations of this policy or who cooperate in the investigation of such reports. Retaliation is unacceptable, and any form of retaliation in violation of this policy will result in disciplinary action, up to and including termination.

VI. Place and Time for Payment of Wages

A. Regular Pay Days

All employees are paid biweekly on Fridays. Employees must complete their timecards in a timely manner to ensure that they are paid for all hours worked. For paydays that fall on a holiday, the payday shall be paid on the previous business day. For employees that choose direct deposit schedule paychecks are directly deposited into employees' bank accounts. For employees who are not on direct deposit, checks are distributed by the employee's immediate supervisor at the employee's workstation on the date assigned for payment. If the employee is absent from their workstation when the paycheck is distributed, the employee may claim the paycheck from their immediate supervisor upon returning to work.

B. Payment on Resignation, Termination, or Completion of Assignment or Term

If an employee resigns, their paycheck will be available no later than the next regularly scheduled payday. If an employee is terminated, his or her paycheck will be available no later than the sixth day after the date of discharge.

C. Garnishments

The Company complies with applicable state and federal laws regarding the garnishment and assignment of wages. Repeated garnishments for multiple debts can be grounds for discharge or other discipline as provided by applicable laws.

D. Payroll Deductions

Deductions are made for federal Income Tax, Medicare, and Social Security Tax, as required by federal law. State Income Tax and State Disability Insurance deductions vary according to the state in which your work is performed. Deductions are made to comply with federal and state laws pertaining to taxes and employee benefits. All compensation deductions are itemized and provided to employees with each paycheck.

Other deductions including participation in certain employee benefits may also be made if authorized by the employee in writing or by electronic signature. Each paycheck stub itemizes amounts that have been withheld. It is the employee's responsibility to confirm the accuracy of payroll deductions and personal information and to notify their manager immediately of any changes. It is important that employees keep this information for tax purposes. Questions about deductions should be directed to the employee's manager.

Timekeeping Procedures

All employees are required to timely clock in and clock out and must review and approve their timesheets verifying the number of hours they worked in the pay period. Employees are prohibited from altering time records for another employee or otherwise falsifying time records. Any change or correction made to a time record shall be initialed by both the employee and his or her supervisor.

I. Point System

To encourage communication between Team Members, Supervisors, and Managers, Smallwoods has implemented a Point System to track absenteeism and missed punches. This system is not meant as punishment but to identify problematic trends. Points will be calculated on a rolling calendar basis by adding points acquired over the previous 365 days.

- 4 points – Verbal Warning
- 5 points – Written Warning
- 6 points – 3-Day Suspension Without Pay or Use of PTO/Vacation
- 7 points – Termination

This policy does not apply to absences covered by the Family and Medical Leave Act (FMLA) leave, provided as a reasonable accommodation under the Americans with Disabilities Act (ADA), or where leave is protected by State or local laws. These exceptions are described in separate policies. Employees taking leave under the Family and Medical Leave Act, the Americans with Disabilities Act or other state or federal protected leave are expected to provide notice of absences in accordance with company policy. Failure to provide notice of absent extenuating circumstances may result in disciplinary action as described above.

Employees receiving corrective action under this policy are expected to improve their attendance and punctuality. Failure to improve and sustain improvement may result in the employee's receiving additional correction, up to and including termination. Nothing in this disciplinary policy limits the policy of employment at-will or restricts the right of either party to terminate employment at any time, with or without cause or prior warnings or counseling.

Excused absence – (Code) E – 0 points

Team member is absent from work but has filled out a time-off request that has been approved by a manager or supervisor. Time-off requests are to be filled out and approved 5 business days prior to absence. Absences due to illness that are accompanied by a doctor's note will be classified as an excused absence. Team members that must be absent from work due to a child that is ill will be granted an excused absence when a doctor's note is provided as verification that the child was seen by a physician. Results in a 0-point accumulation.

Missed time punch – (Code) M - .25 point

Team member misses a time punch and fails to submit a missed time punch form. Missed time punch forms are to be submitted within 24 business hours of the missed time punch. Forms submitted after the 24-hour business hours deadline will be subject to a missed time punch violation. Results in a .25-point accumulation.

Late to work or leaving work early (Less than 2 hours) – (Code) L - .25 point

Team member is either late to work by less than 2 hours from their scheduled start time or leaves work less than 2 hours earlier than scheduled work stop time without an approved time-off request. Results in a .25-point accumulation.

Late to work or leaving work early (2 hours or more) – (Code) V - .50 point

Team member is either late to work by more than 2 hours from their scheduled start time or leaves work more than 2 hours earlier than scheduled work stop time without an approved time-off request results in a .50-point accumulation.

Unexcused absence – (Code) U – 1 point

Team member is absent from work on a scheduled workday without an approved time-off request. If an unexcused absence will be prolonged, team member must communicate the time-off request for additional days with manager for approval to avoid multiple point loss due to the absence. Results in a 1-point accumulation.

No call no show – (Code) N – 3 points

Team member fails to show up for scheduled work time and fails to notify supervisor of absence. Results in a 3-point accumulation and is also subject to termination.

Business Expense Reimbursement

The Company will reimburse employees for reasonable expenses incurred for business purposes including, but not limited to, meals, lodging, and transportation. Mileage driven in a personal automobile for business purposes will be reimbursed at the current IRS-approved rate per mile. All business travel and business purchases must be approved in advance by the employee's Supervisor.

Employees should complete expense reimbursement reports within 10 days of incurring the expenses and submit the reports and receipts to the Accounting Department.

Personnel Records

Personnel files are the property of Smallwoods and access to the information they contain is restricted. Generally, only management and supervisors are allowed to review information in a personnel file.

Employees should advise their supervisor or the People Department in writing as soon as possible if changes need to be made to their personnel files. Employees also should inform the Director of People of any specialized training or skills they acquire. Employees are also responsible for maintaining a current group life insurance beneficiary designation. It is important that each employee's personal information be kept current for the purposes of pay, deductions, benefits, and other matters.

Employees who wish to review their own file should contact their supervisor or Smallwood's People Department. With reasonable advance notice, employees may review their personnel files in the Smallwoods office and in the presence of an individual designated by Smallwoods. However, the employee may not remove any information from the file or make copies of any information in the file.

Personnel files are the property of the Company and may not be removed from the Company's premises without written authorization from the Director of People.

Record Retention

The Company acknowledges its responsibility to preserve information relating to litigation, audits, and investigations. Failure on the part of employees to follow this policy can result in possible civil and

criminal sanctions against the Company and its employees and possible disciplinary action against responsible individuals (up to and including discharge of the employee). Each employee has an obligation to contact the Director of People to inform them of potential or actual litigation, external audit, investigation, or similar proceeding involving the Company that may have an impact on record retention protocols.

Lactation Accommodation

The Company will provide a reasonable amount of break time to accommodate an employee desiring to express breast milk for the employee's infant child for up to two years after the birth. Employees will be provided a place, other than a bathroom, that is shielded from view and free from intrusion from co-workers and the public. Employees needing breaks for lactation purposes may use ordinary paid rest breaks or may take other reasonable break time when needed. If possible, the lactation break time should run concurrently with scheduled meal and rest breaks already provided to the employee in a private location other than a restroom. If the lactation break time cannot run concurrently with meal and rest breaks already provided or additional time is needed for the employee, the lactation break time will be unpaid for nonexempt employees.

Should you require lactation accommodations, please advise the Director of People so that accommodations may be made.

Termination, Discipline, and Rules of Conduct

Termination of employment is an inevitable part of personnel activity with any organization, and many of the reasons for termination are routine. If an employee is terminated, with cause, or resigns without proper notice, payment of unused accrued PTO is forfeited.

I. Termination

A. Voluntary Termination

The Company will consider an employee to have voluntarily terminated their employment if an employee does any of the following:

- 1) Elects to resign from the Company;
- 2) Fails to return from an approved leave of absence on the date specified by the Company; or
- 3) Fails to report for work without notice to the Company for three (3) consecutive days.

An employee who wishes to resign should give written notice to their supervisor. Nonexempt employees should submit the notice at least two (2) weeks prior to the last day worked. Exempt employees should give four (4) weeks' notice.

Employees who resign in good standing with proper notice of resignation, are entitled to receive payment for any unused accrued PTO as described in Paragraph VIII of the "Paid Time Off" Section below.

B. Involuntary Termination

An employee may be terminated involuntarily for reasons that may include poor performance, misconduct, or other violations of the Company's rules of conduct as set forth below. Notwithstanding this list of rules, the Company reserves the right to discharge or demote any employee with or without cause and with or without prior notice.

C. Termination Due to Reorganizations, Economics, or Lack of Work

From time to time, the Company may need to terminate an employee as a consequence of reorganizations, job eliminations, economic downturns in business, or lack of work. Should the Company consider such terminations necessary, the Company will attempt to provide all affected employees with advance notice when practical. Layoff benefits associated with such terminations, if any, will be as specified in the notice.

II. Discipline and Rules of Conduct

Employees are expected to observe certain standards of job performance and good conduct. When performance or conduct does not meet Company standards, the employee will be subject to discipline up to and including termination.

Below are examples of conduct or behavior which will result in disciplinary actions up to and including termination. The following are listed only for illustrative purposes and are not the exclusive grounds for disciplinary actions. We also emphasize that your employment relationship with Smallwoods is an at-will relationship.

A. Job Performance

Employees may be disciplined for poor job performance, including but not limited to the following:

- (1) Unsatisfactory work quality or quantity;
- (2) Excessive absenteeism, tardiness, or abuse of rest break and meal period policies;
- (3) Failure to follow instructions or Company procedures; or
- (4) Failure to follow established safety regulations.

B. Misconduct

The following are examples of some, but not all, conduct which can be considered unacceptable:

- (1) Obtaining employment on the basis of false or misleading information.
- (2) Stealing, removing, or defacing Company property or a co-worker's property, and/or disclosure of confidential information.
- (3) Completing another employee's time records.
- (4) Violation of safety rules and policies.
- (5) Violation of the Company's Drug and Alcohol-Free Workplace Policy.
- (6) Fighting, threatening, or disrupting the work of others or other violations of the Company's Workplace Violence Policy.
- (7) Failure to follow lawful instructions of a supervisor.
- (8) Failure to perform assigned job duties.
- (9) Violation of the Punctuality and Attendance Policy, including but not limited to irregular attendance, habitual lateness, or unexcused absences.
- (10) Gambling on Company property.
- (11) Willful or careless destruction or damage to Company assets or to the equipment or possessions of another employee.
- (12) Wasting work materials.
- (13) Performing work of a personal nature during working time.
- (14) Violation of the Solicitation and Distribution Policy.
- (15) Violation of the Company's Harassment or Equal Employment Opportunity Policies.
- (16) Violation of the Communication and Computer Systems Policy.

- (17) Unsatisfactory job performance.
- (18) Any other violation of Company policy.

Obviously, not every type of misconduct can be listed. Note that all employees are employed at-will, and the Company reserves the right to impose whatever discipline it chooses, or none at all, in a particular instance. The Company will deal with each situation individually and nothing in this handbook should be construed as a promise of specific treatment in a given situation. However, the Company will endeavor to utilize progressive discipline but reserves the right in its sole discretion to terminate the employee at any time for any reason.

The observance of these rules will help to ensure that our workplace remains a safe and desirable place to work.

C. Attendance

In addition to the general rules stated above, employees may be disciplined for failing to observe the following specific requirements relating to attendance:

- 1) Reporting to work on time, observing rest break and meal period policies, recording all time worked, and obtaining approval to leave work early; and
- 2) Notifying the supervisor in advance of anticipated tardiness or absence.

Additional information regarding the attendance policy can be found in the Timekeeping Procedures policy.

Nothing in this section is intended to prohibit employees from speaking with others about their terms and conditions of employment.

Employees are expected to report dishonest activities by other employees to any supervisor, Manager, Director, or the CEO. Failure to submit such information is considered a violation of the Standards of Conduct. It is also a violation of the Standards of Conduct to initiate or encourage retaliation against any employee or other person who reports known or suspected Standards of Conduct violations.

D. Progressive Discipline Procedure

In addition to the Points System, Smallwoods generally follows a policy of progressive disciplinary or counseling action steps including but not limited to: 1) verbal/one-on-one counseling, 2) written warnings, and 3) termination. However, the Company is not obligated to follow the steps in sequence. Some offenses and violations may be severe enough to warrant immediate written warnings, suspension or termination. This policy of progressive discipline is not meant to restrict Smallwoods from taking any employment related disciplinary action it deems appropriate to address employee performance or conduct.

III. Exit Interview

Employees who leave the Company for any reason may be asked to participate in an exit interview. This interview is intended to permit terminating employees the opportunity to communicate their views regarding their work with the Company, including job duties, job training, job supervision, and job benefits. At the time of the interview, employees are expected to return all Company-furnished property, such as uniforms, tools, equipment, I.D. cards, keys, credit cards, documents, and handbooks. Arrangements for clearing any outstanding debts with the Company and for receiving final pay also will be made at this time.

IV. Employment at Will

Nothing in this Guideline is intended to alter the at-will status of employment with the Company. Employment with Smallwoods is based on mutual consent, both the employee and Smallwoods have the right to terminate the employment relationship at any time, with or without cause, with or without notice. The Company reserves the right to terminate any employment relationship, to demote, or to otherwise discipline an employee without resort to the above disciplinary procedures.

Drug-Free Workplace

I. Purpose of Guideline

It is the policy of Smallwoods to maintain a safe work environment that is free of drug and alcohol and to discourage drug and alcohol abuse by its employees while performing their duties for Smallwoods. Employees who are under the influence of a drug or alcohol on the job compromise the Company's interests and endanger their own health and safety and the health and safety of others. Substance abuse in the workplace can also cause a number of other work-related problems, including absenteeism and tardiness, substandard job performance, increased workloads for co-workers, behavior that disrupts other employees, and inferior quality in products or service.

Smallwoods prohibits the use, disbursement, transportation, promotion, or sale of illegal drugs or other legal but illicitly used substances including inhalants or the use or misuse of any prescription drug without proper medical authorization. Employees must not report to work or remain at work while impaired or intoxicated.

To further its interest in avoiding accidents, to promote and maintain safe and efficient working conditions for its employees, and to protect its business, property, equipment, and operations, the Company has established this Guideline concerning the use of alcohol and drugs. As a condition of continued employment with the Company, each employee must abide by these Guidelines.

II. Definitions

For purposes of this Guideline:

- "Illegal drugs or other controlled substances" means *any* drug or substance that (a) is not legally obtainable; or (b) is legally obtainable but has not been legally obtained; or (c) has been legally obtained but is being sold or distributed unlawfully.
- "Legal drug" means any drug, including any prescription drug or over-the-counter drug, that has been legally obtained and that is not unlawfully sold or distributed.
- "Abuse of any legal drug" means the use of any legal drug (a) for any purpose other than the purpose for which it was prescribed or manufactured; or (b) in a quantity, frequency, or manner that is contrary to the instructions or recommendations of the prescribing physician or manufacturer.
- "Reasonable suspicion" includes a suspicion that is based on specific personal observations such as an employee's manner, disposition, muscular movement, appearance, behavior, speech, or breath odor; information provided to management by an employee, by law enforcement officials, by a security service, or by other persons believed to be reliable; or a suspicion that is based on other surrounding circumstances.
- "Possession" means that an employee has the substance on their person or otherwise under

their control.

III. Prohibited Conduct

A. Scope

The prohibitions of this section apply whenever the interests of the Company may be adversely affected, including any time an employee is:

- 1) On Company premises;
- 2) Conducting or performing Company business, regardless of location;
- 3) Operating or responsible for the operation, custody, or care of Company equipment or other property; or
- 4) Responsible for the safety of others in connection with, or while performing, Company-related business.

B. Alcohol

The following acts are prohibited and will subject an employee to discharge:

- 1) The unauthorized use, possession, purchase, sale, manufacture, distribution, transportation, or dispensation of alcohol; or
- 2) Being under the influence of alcohol from unauthorized consumption.

C. Illegal Drugs

The following acts are prohibited and will subject an employee to discharge:

- 1) The use, possession, purchase, sale, manufacture, distribution, transportation, or dispensation of any illegal drug or other controlled substance; or
- 2) Being under the influence of any illegal drug or other controlled substance.

Despite many states' recent legalization of medical and/or recreational marijuana, the Company's zero tolerance policy prohibits any employee from having marijuana in their system while working and also prohibits any employee from possessing marijuana while on company property.

D. Legal Drugs

The following acts are prohibited and will subject an employee to discharge:

- 1) The abuse of any legal drug;
- 2) The purchase, sale, manufacture, distribution, transportation, dispensation, or possession of any legal prescription drug in a manner inconsistent with law; or
- 3) Working while impaired by the use of a legal drug whenever such impairment might:
 - a. Endanger the safety of the employee or some other person;
 - b. Pose a risk of significant damage to Company property or equipment; or
 - c. Substantially interfere with the employee's job performance or the efficient operation of The Company's business or equipment.

IV. Disciplinary Action

A. Discharge for Violation of Guideline

A first violation of this Guideline will result in immediate discharge whenever the prohibited conduct:

- (1) Caused injury to the employee or any other person, or, in the sole opinion of management, endangered the safety of the employee or any other person;
- (2) Resulted in significant damage to Company property or equipment, or, in the sole opinion of management, posed a risk of significant damage;

- (3) Involved the sale or manufacture of illegal drugs or other controlled substances;
- (4) Involved the possession, distribution, or dispensation of illegal drugs or other controlled substances or alcohol in a quantity greater than for personal use;
- (5) Involved an employee who had not completed the introductory period or was a casual, seasonal, or temporary employee; or
- (6) Involved the failure of an employee to report a criminal conviction, as required by below policy.

B. Discretion Not to Discharge

In circumstances other than those described above, the Company, in the discretion of management, may choose not to discharge an employee for a first violation of this Guideline if the employee satisfactorily participates in and completes an approved drug or alcohol abuse 'assistance' or rehabilitation program when recommended by the Company or the employee contacts the Employee Assistance Department within two working days after being referred there by management and follows the recommendations made by the People Department, including satisfactory participation in and completion of an approved drug or alcohol abuse, assistance, or rehabilitation program.

C. Effect of Criminal Conviction

An employee who is convicted under a criminal drug statute for a violation occurring in the workplace or during any Company-related activity or event will be deemed to have violated this Guideline.

D. Written Warning

An employee who is not discharged for a first violation of this Guideline will receive a final written warning and immediate suspension without pay for a period of 10 calendar days.

E. Effect of Second Violation

A second violation of this Guideline at any time will result in immediate discharge.

F. Effect of Discharge on Eligibility for Rehire

Employees who are discharged for a violation of this Guideline will not be eligible for rehire by the Company.

V. Drug-Free Awareness

A. Management Awareness

Managers and supervisors should be attentive to the performance and conduct of those who work with them and should not permit an employee to work in an impaired condition or to otherwise engage in conduct that violates this Guideline. When management has reasonable suspicion to believe that an employee or employees are working in violation of this Guideline, prompt action will be taken. If the employee occupies a designated safety-sensitive position, such action may include drug testing in accordance with the procedures outlined in this policy.

B. Criminal Convictions

Any employee charged or convicted of a criminal drug statute violation must notify management or the People Department no later than five (5) days after such charge or conviction. When required by federal law, the Company will notify any federal agency with which it has a contract of any employee who has been convicted under a criminal drug statute for a violation occurring in the workplace.

VI. Use of Legal Drugs

The Company recognizes that employees may, from time to time, be prescribed legal drugs that, when taken as prescribed or according to the manufacturer's instructions, may result in impairment. Employees may not work while impaired by the use of legal drugs if the impairment might endanger the employee or someone else, pose a risk of significant damage to Company property, or substantially interfere with the employee's job performance. If an employee is so impaired by the appropriate use of legal drugs, they may not report to work. To accommodate the absence, the employee may use accrued sick leave, personal leave, or vacation time. The employee may also contact the Director of People to determine whether or not they qualify for an unpaid leave of absence, such as family care or medical leave. Nothing in this Guideline is intended to sanction the use of accrued sick leave, personal leave, or vacation time to accommodate absences due to the abuse of legal drugs. Further, nothing in this Guideline is intended to diminish the Company's commitment to employ and reasonably accommodate qualified disabled individuals. The Company will reasonably accommodate qualified disabled employees who must take legal drugs because of their disability.

VII. Unregulated or Authorized Conduct

A. Customary Use of Over-the-Counter Drugs

Nothing in this Guideline is intended to prohibit the customary and ordinary purchase, sale, use, possession, or dispensation of over-the-counter drugs, so long as that activity does not violate any law or result in an employee being impaired by the use of such drugs in violation of this Guideline.

B. Off-the-Job Conduct

Unless an employee is in a designated safety-sensitive position, this Guideline is not intended to regulate off-the-job conduct, so long as the employee's off-the-job use of alcohol or drugs does not result in the employee being under the influence of or impaired by the use of alcohol or drugs in violation of this Guideline. If an employee is in a designated safety-sensitive position, they will be subject to drug testing as described in Section X of this Guideline.

C. Authorized Use of Alcohol

The Company may provide alcohol for consumption at certain events, such as social functions. The consumption of alcohol at these events does not violate this Guideline.

VIII. Confidentiality

Disclosures made by employees to the Director of People concerning their use of legal drugs will be treated confidentially and will not be revealed to managers or supervisors unless there is an important work-related reason to do so in order to determine whether it is advisable for the employee to continue working. Disclosures made by employees to the Director of People concerning their participation in any drug or alcohol rehabilitation program will be treated confidentially.

IX. Counseling/Employee Assistance

The Company maintains an Employee Assistance Program, administered by the People Department, which provides help to employees who seek assistance for drug or alcohol abuse, as well as for other personal or emotional problems. Employees who suspect that they may have alcohol or drug problems, even in the early stages, are encouraged to voluntarily seek diagnosis and to follow through with the treatment as prescribed by qualified professionals. Employees should be aware that participation in the Employee Assistance Program will not necessarily shield them from disciplinary action for a violation of

this Guideline, particularly if discipline is imposed for a violation occurring before the employee seeks assistance.

X. Drug Testing

A. Testing of Applicants

As part of the Company's employment screening process, any applicant, including any applicant for safety-sensitive positions, to whom an offer of employment is made, must pass a test for controlled substances, under the procedures described below. The offer of employment is conditioned on a negative test result. Applicants will be informed of the Company's drug testing policy in the employment application.

B. Reapplication After Failing Drug Screen or Background Check

Smallwoods Management Company is committed to maintaining a safe, productive, and responsible work environment for all employees. As part of our commitment to safety and integrity, we conduct drug screens and background checks on all job applicants. In cases where an applicant fails either a drug screen or background check, this policy outlines the procedure for reapplying for a job opportunity after a waiting period of six (6) months.

Applicants who have failed a drug screen or background check will be eligible to reapply for a position with Smallwoods Management Company after a waiting period of six (6) months from the date of the initial application rejection.

The applicant will be informed in writing of the decision to reject their initial application based on the failed drug screen or background check.

The applicant must wait for a period of six (6) months from the date of the rejection letter before submitting a new job application.

After the waiting period has elapsed, the applicant may submit a new job application for any open positions within Smallwoods Management Company. The new application will be reviewed in the same manner as any other applicant, without special consideration or prejudice based on the previous failed screening.

Applicants who reapply after the waiting period will be subject to the same pre-employment screening processes, including drug screens and background checks. Any subsequent failures may result in the permanent disqualification from future employment opportunities with Smallwoods Management Company.

C. Reasonable Suspicion Testing

If an employee is reasonably suspected of impairment or intoxication while working, the supervisor must immediately contact the People Department. The employee will be asked about any observed behavior and offered an opportunity to give a reasonable explanation. If the employee is unable to explain the behavior, they will be asked to take a drug test in accordance with the procedures outlined below. An employee's consent to submit to testing is required as a condition of employment. Refusal to consent to testing will result in immediate termination.

If the decision is made to test an employee, the supervisor will escort the employee to the testing site. After the completion of testing, the employee will be placed on paid investigatory suspension pending the receipt of the test results and is not allowed to return to work until notification from his/her supervisor.

D. Procedures for Drug Testing

The Company will refer the applicant or employee to an independent, National Institute on Drug Abuse (NIDA)-certified medical clinic or laboratory, which will administer the test. The Company will pay the cost of the test and reasonable transportation costs to the testing facility. The employee will have the opportunity to alert the clinic or laboratory personnel to any prescription or non-prescription drugs that they have taken that may affect the outcome of the test. All drug testing will be performed by urinalysis. Initial screening will be done by EMIT II. Positive results will be confirmed by gas chromatography/mass spectrometry.

The clinic or laboratory will inform the Company as to whether the applicant passed or failed the drug test and may include a detailed testing report. If an employee fails the test, they will be considered to be in violation of this Guideline and will be subject to discipline accordingly.

E. Acknowledgment and Consent

Any employee subject to testing under this policy will be asked to sign a form acknowledging the procedures governing testing and consenting to (1) the collection of a urine sample for the purpose of determining the presence of alcohol or drugs, and (2) the release to the Company of medical information regarding the test results. Refusal to sign the agreement and consent form, or to submit to the drug test, will result in the revocation of an applicant's job offer, or will subject an employee to discipline up to and including termination.

F. Confidentiality

All drug testing-records will be treated as confidential.

Business Related Events and Functions

From time to time, Smallwoods may sponsor social events or gatherings, for the benefit of the employees, or may ask employees to attend various socials where alcoholic beverages may be served. This policy shall not be construed to prohibit responsible consumption of alcoholic beverages at these functions. However, excessive consumption of alcoholic beverages, or intoxication, at any social function shall constitute a violation of this policy.

Inspections and Searches on Company Premises

I. Purpose of the Guideline

Company believes that maintaining a workplace that is free of drugs, alcohol, and other harmful materials is vital to the health and safety of its employees and to the success of the Company's business. The Company also intends to protect against the unauthorized use and removal of Company property. In addition, the Company intends to assure its access at all times to Company premises and Company property, equipment, information, records, documents, and files. At times, it may be necessary for the Company to provide records, information or assistance to a government entity in accordance with the

terms of a warrant, court order, or other order issued by law. Accordingly, the Company has established this Guideline concerning inspections and searches on Company premises. This Guideline applies to all employees of the Company.

II. Definitions

For purposes of this Guideline:

- (1) "Prohibited materials" means firearms or other weapons; explosives and/or hazardous materials or articles; illegal drugs or other controlled substances as defined in the Company's Drug-Free Workplace Guideline; drug-related paraphernalia; the unauthorized use or consumption of alcoholic beverages on Company property; or Company property and/or proprietary and confidential information belonging to a third party that an employee is not authorized to have in their possession.
- (2) "Company property" includes all documents, records, software, electronic codes, data, and files, in both hard copy and electronic form, relating to the Company's business; and all equipment, hardware, and other property of any kind, whether owned, leased, rented, or used by the Company.
- (3) "Company premises" includes all premises and locations owned or leased by the Company or under the control of the Company, including parking lots, lockers, and storage areas.
- (4) "Reasonable suspicion" includes a suspicion that is based on specific personal observations such as an employee's manner, disposition, muscular movement, appearance, behavior, speech or breath odor; information provided to management by an employee, by law enforcement officials, by a security service, or by other persons believed to be reliable; or a suspicion that is based on other surrounding circumstances.
- (5) "Possession" means that an employee has the prohibited material or Company property on their person or otherwise under their control.

III. Inspections and Searches

A. Access to Company Property

- (1) In order to ensure access at all times to Company property, and because employees properly in possession of Company property or information related to Company business may not always be available to produce the property or information when needed in the ordinary course of the Company's business, the Company reserves the right to conduct a routine inspection or search at any time for Company property on Company premises. In addition, the Company reserves the right to access at all times information and communications stored in Company computer files, on Company mobile devices and in employee voicemail boxes and electronic-mail systems.
- (2) Routine searches or inspections for Company property may include an employee's office, desk, file cabinet, closet, computer files, voice mail, electronic mail, Company-issued mobile device or similar places where employees may store Company property or company-related information, whether or not the places are locked or protected by access codes and/or passwords.
- (3) Because even a routine search for Company property might result in the discovery of an employee's personal possessions, all employees are encouraged to refrain from bringing into the workplace any item of personal property that they do not wish to reveal to the Company.

B. Inspections and Searches for Prohibited Materials

- (1) Inspections or searches for prohibited materials in or on Company premises also will be conducted whenever the Company has reasonable suspicion to believe that a particular employee or group of employees may be in possession of materials in violation of this Guideline.

- (2) Inspections or searches for prohibited materials may be conducted by an independent security service or by Company personnel.
- (3) Inspections or searches for prohibited materials may be conducted on a regular or random basis at locations where employees enter or exit Company premises, without regard to whether there is reasonable suspicion that any employee may be in possession of prohibited materials in violation of this Guideline.
- (4) Inspections or searches for prohibited materials may be conducted from time to time even when there is no immediate reason to suspect the presence of the materials. In such cases, the Company may announce the inspection in advance, *except* for inspections or searches conducted at locations where employees enter or exit Company premises.
- (5) Inspections or searches for prohibited materials may include an employee's office, desk, file cabinet, closet, computer, company-issued mobile device or similar places where employees may place personal possessions or information, whether or not the places are locked or password protected. Inspections or searches for prohibited materials also may include an employee's locker, or an employee's pockets, purse, briefcase, lunch box, or other item of personal property that is being worn or carried by the employee while on Company premises.
- (6) In cases involving an inspection or search of an employee's pockets, purse, briefcase, or other item of personal property that is being worn or carried by the employee, the employee will be requested to conduct a self-search (i.e., by turning out or emptying pockets, purses, etc.) in the presence of an observer who will be a person of the same gender.
- (7) Employees who refuse to cooperate during an inspection or search will not be forcibly detained or searched. They will be informed, however, that the Company will base any disciplinary decision on the information that is available, including their refusal to consent to the search as well as the information that gave rise to a reasonable suspicion that the employees were in possession of prohibited materials, if applicable, and that their failure or refusal to cooperate could deprive the Company of information that may clear them of suspicion. In addition, the Company reserves the right to take appropriate action to prevent the unauthorized removal from Company premises of Company property.

IV. Approvals for Inspections

- (1) In instances in which the inspection or search is conducted because there is reasonable suspicion that a particular employee or group of employees may be in possession of prohibited materials in violation of this Guideline or may be using Company property in an unauthorized manner, and in instances in which an item of the employee's personal property will be searched, the inspection or search will be approved in advance by the highest ranking member of management in the Division who is available at the time the inspection or search is to be conducted and by the Director of People or their designated alternate(s) in the event of unavailability.
- (2) All inspections or searches that are conducted as part of the Company's program of periodic (and unannounced) inspections will be approved in advance by the Director of People, who will inform the Division Manager of the impending inspection prior to its occurrence.

V. Disciplinary Action

Employees who are found to be in possession of prohibited materials in violation of this Guideline and/or in violation of Company Property; Proprietary and Confidential Information Guideline, the

Technology Use and Privacy Guideline, and the Drug-Free Workplace Guideline, or employees who are found to have used Company property in an unauthorized manner, will be subject to discipline, up to and including discharge, regardless of the Company's reason for conducting the search or inspection.

VI. Confidentiality

Managers and supervisors will make their best effort to restrict communications concerning a violation or possible violation of this Guideline to persons who have an important work-related reason to know.

Workplace Violence

I. Statement of Policy

Smallwoods expressly prohibits acts or threats of violence, including but not limited to fighting, by or against any employee, customer, vendor, or visitor to Smallwoods facilities, while an employee is on duty, on Smallwoods company-related business, or operating any vehicle or equipment owned by Smallwoods.

In addition, Smallwoods strictly prohibits the possession or use of any and all weapons (including guns, knives, explosives, or other items with the potential to inflict harm) on Smallwoods premises by any employee, customer, vendor, or other visitor, whether licensed or unlicensed and whether concealed or visible. Company premises include all Smallwoods buildings, vehicles, and property. Employees are further prohibited from possessing or using any and all weapons while conducting business on behalf of Smallwoods while off Company premises.

Individuals who legally possess firearms/ammunition are not prohibited from carrying the firearm or ammunition in their locked, privately owned vehicles while parked in Smallwoods approved parking areas.

Any potentially dangerous situations, or observations of weapons in the workplace, must be reported immediately to any supervisor, Manager, Director, or the CEO. These situations may include knowledge of personal or family relationships that could bring violence into the workplace. Employees are required to notify any supervisor or the Director of People of any active restraining orders they may have in place against another individual.

The Company believes that prevention of workplace violence begins with recognition and awareness of potential early warning signs and has established procedures within the People Department for responding to any situation that presents the possibility of violence.

II. Workplace Violence Defined

Workplace violence includes, but is not limited to, the following:

- 1) Threats of any kind;
- 2) Threatening, physically aggressive, or violent behavior, such as intimidation of or attempts to instill fear in others;
- 3) Other behavior that suggests a propensity towards violence, which can include belligerent speech, excessive arguing or swearing, sabotage, or threats of sabotage of Company property, or a demonstrated pattern of refusal to follow Company policies and procedures;
- 4) Defacing Company property or causing physical damage to the facilities; or
- 5) With the exception of security personnel, bringing weapons or firearms of any kind on Company

premises, in Company parking lots, or while conducting Company business.

III. Reporting

If any employee observes or becomes aware of any of the above-listed actions or behavior by an employee, customer, consultant, visitor, or anyone else, they should notify the Director of People immediately.

Further, employees should notify the Director of People and their supervisor if any restraining order is in effect, or if a potentially violent nonwork-related situation exists that could result in violence in the workplace. No adverse employment action will be taken against an employee because they notify the Company of a potentially violent non-work situation.

If the threat of violence is imminent, the employee should call 911 immediately.

IV. Investigation

All reports of workplace violence will be taken seriously and will be investigated promptly and thoroughly. In appropriate circumstances, the Company will inform the reporting individual of the results of the investigation. To the extent possible, the Company will maintain the confidentiality of the reporting employee and of the investigation. The Company may, however, need to disclose results in appropriate circumstances, for example, in order to protect individual safety. The Company will not tolerate retaliation against any employee who reports workplace violence.

V. Corrective Action and Discipline

If the Company determines that workplace violence in violation of this policy has occurred, the Company will take appropriate corrective action and will impose discipline on offending employees. The appropriate discipline will depend on the particular facts but may include written or oral warnings, probation, reassignment of responsibilities, suspension, or termination. If the violent behavior is that of a non-employee, the Company will take appropriate corrective action in an attempt to ensure that such behavior is not repeated.

Under certain circumstances, the Company may forego disciplinary action on the condition that the employee takes a medical leave of absence. In addition, the Company may request that the employee participate in counseling, either voluntarily or as a condition of continued employment.

VI. Employee Assistance Program

Any employee who believes that they may have a problem that could lead to violent behavior is encouraged to use the Company's Employee Assistance Program. The EAP is a professional, confidential counseling service that is available to all personnel and members of their household to assist in resolving emotional difficulties, marital and family conflict, stress, chemical dependency, conflicts at work, and other concerns. The EAP counselor can help to clarify a problem and to develop an action plan during the counseling session. EAP services are prepaid by the Company.

Further information regarding the Company's Employee Assistance Program may be obtained from your supervisor or from the People Department.

Inclement Weather, Office Closure

While Smallwoods will always keep the safety of its employees in mind, we may choose to remain open on days of inclement weather. If Smallwoods remains open during inclement weather, it is always the employee's choice whether to report to work. Employees who do not report to work on a day when Smallwoods is open will be required to use available PTO if they wish to be paid. If no PTO is available, Nonexempt employees will not be paid for the day.

Safety Program

OSHA provides for employees the right to know about any health hazards which might be present on the job. If any employee has any questions or concerns, they should contact their supervisor.

The Company is committed to providing and maintaining a healthy and safe work environment for all employees. Every employee will receive a copy of the Company's General Safety Rules and will receive health and safety training.

You are required to know and comply with the Company's General Safety Rules and to follow safe and healthy work practices at all times. You may be subject to discipline for engaging in any unsafe or unhealthy work practice or for violating established safety rules. You also are required to report immediately to your supervisor any potential health or safety hazards, and all injuries or accidents. First aid supplies are located at all the Smallwoods facilities as follows:

- Whaley Assembly and Shipping – Lunchroom and wall between Hanging Print & Maintenance Area
- Industrial Wood Shop -North wall between Office and Break Room
- **3750 Print Shop – Table adjacent to Manager's Area on print shop floor**
1512 Colony Circle – Break Room 219 Industrial – Break Room FM 1650 – Break Room
216 Industrial – Break Room

The location of the nearest doctor and/or medical facility is posted at the same location as the First Aid supplies.

Workplace Environment / Distractions and Personal Protective Equipment Policies in Production Manufacturing Areas

Workplace Environment/Distractions

Providing a safe work environment is essential. You are important in maintaining that safety atmosphere. Stay Alert! Always be aware of who and what is around you. You will receive job specific training for those tasks you will be assigned. If someone tries to assign you a job for which you have not been trained, **DO NOT PROCEED** until you notify the Department Manager and receive the proper training. If you are unsure about what you are doing, **STOP and ASK**. We want you to feel comfortable and safe performing your tasks.

Personal Protective Equipment (PPE)

Safety glasses – if required, you will be assigned a pair of safety glasses. They are to always be worn in the designated manufacturing areas listed on the attached list of Required Personal Protection Equipment. It will be your responsibility to ensure you have your glasses when you report to work. You can furnish your own pair if they meet appropriate safety standards.

Footwear – we encourage the wearing of work boots with steel toes, but they are not required. Footwear worn in the manufacturing areas must be closed top. **NO OPEN TOED SHOES OR “CROCS” ARE ALLOWED IN THE MANUFACTURING AREAS.**

Hearing protection – hearing protection is currently required in the departments and areas described on the attached list. For all other areas ear plugs are available if you desire to use them. All hearing protection will be issued by Smallwoods. For departments and areas not listed, one wireless ear bud may be worn but only in designated areas and must be removed when moving from one area of a facility to another, entering, or crossing any area where ear buds are prohibited. Ear buds may not be used in place of, over or under hearing protection. Management reserves the right to disallow the use of ear buds at any time and in any place.

Cell Phone Usage – Team Members are allowed to have cell phones with them in approved facilities, departments, and work areas. Team Members must abide by these rules for cell phone usage: 1. No photos, videos, or sound recordings are allowed in any workspace, common area, or Smallwoods property. (This is a zero tolerance policy.) 2. Phones must be on silent or vibrate mode only. 3. Unless it is an emergency texts or phone calls shall be taken and/or responded to only during break times. In case of an emergency, the Team Member should notify a supervisor that they have an emergency text/call and step away from their workspace. 4. When taking a phone call on Smallwoods property Team Members should be considerate and use proper phone etiquette including, speaking quietly or at an appropriate volume, no offensive language should be used, and only appropriate topics or subject matter should be discussed. Management reserves the right to revoke all cell phone privileges for a Team Member that abuses or does not follow these guidelines.

Gloves – gloves are required only in the areas designated on the attached list. For all other areas, gloves are not required but are available if requested. Regardless of the facility, area or department, gloves should be worn when handling waste ink, paint, and any other hazardous material. Further, protective aprons will be used when disposing of waste ink or paint.

Personal Protection Equipment Required by Manufacturing Department

ALL DEPARTMENTS

All departments	<i>Closed toe and heel shoes (No flip flops, “Crocs”, or sandals, etc.)</i>
Changing Propane tanks	<i>Low temperature resistant gloves are to be used when changing the propane tanks on the forklifts. These are to be stored in the tank storage cabinets</i>

PRINT

Cleaning printer heads	<i>safety glasses, face shield, ½ face respirator, chemical resistant gloves, and apron</i>
Handling ink/solvent waste	<i>safety glasses or goggles, chemical resistant gloves, and apron</i>
CNC/Panel saw operator	<i>safety glasses, hearing protection</i>
All other print positions	<i>NONE</i>

WOOD SHOPS

All equipment operation	<i>safety glasses, hearing protection</i>
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AUTO – FRAMER

Auto – framer operators	<i>safety glasses, hearing protection</i>
Manual “V” nail operator	<i>safety glasses, hearing protection</i>

ASSEMBLY/SHIPPING

Tab guns (within 10 feet)	<i>safety glasses, hearing protection for tab gun operator</i>
All other positions	<i>NONE</i>

HANGING CANVAS

Nail guns (within 10 feet)	<i>safety glasses, hearing protection</i>
All other positions	<i>NONE</i>

CANVAS WRAP

Nail guns (within 10 feet)	<i>safety glasses, hearing protection</i>
Stretch machines	<i>safety glasses</i>
All other positions	<i>NONE</i>

FINISHING

Manual spray painting	<i>safety goggles or face shield, ½ face respirator</i>
Handling solvent waste	<i>safety glasses or goggles, chemical resistant gloves, and apron</i>

METALS

Handling sheet metal	<i>cut resistant gloves must be worn</i>
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Infectious Disease Control Policy

The Company will ensure a clean workplace, including the regular cleaning of objects and areas that are frequently used, such as bathrooms, breakrooms, conference rooms, door handles and railings.

Management will monitor and coordinate events around an infectious disease outbreak, as well as to create work rules that could be implemented to promote safety through infection control.

We ask all employees to cooperate in taking steps to reduce the transmission of infectious disease in the workplace. The best strategy remains the most obvious—frequent hand washing with warm, soapy water; covering your mouth whenever you sneeze or cough; and discarding used tissues in wastebaskets. We will also install alcohol-based hand sanitizers throughout the workplace and in common areas.

Unless otherwise notified, our normal attendance and leave policies will remain in place. Individuals who believe they may face particular challenges reporting to work during an infectious disease outbreak should take steps to develop any necessary contingency plans. For example, employees might want to arrange for alternative sources of childcare should schools close and/or speak with supervisors about the potential to work from home temporarily or on an alternative work schedule.

I. Staying Home When Ill

Many times, with the best of intentions, employees report to work even though they feel ill. We provide certain time off benefits to compensate employees who are unable to work due to illness. Information on time off benefits can be found in the time off policies in this handbook.

During an infectious disease outbreak, it is critical that employees do not report to work while they are ill and/or experiencing symptoms. Employees who report to work ill will be sent home in accordance with these health guidelines.

II. Requests for Medical Information and/or Documentation

If you are out sick or show symptoms of being ill, it may become necessary to request information from you and/or your health care provider. In general, we would request medical information to confirm your need to be absent, to show whether and how an absence relates to the infection, and to know that it is appropriate for you to return to work. As always, we expect and appreciate your cooperation if and when medical information is sought.

III. Confidentiality of Medical Information

Our policy is to treat any medical information as a confidential medical record. In furtherance of this policy, any disclosure of medical information is in limited circumstances with supervisors, managers, first aid and safety personnel, and government officials as required by law.

Personal Visits and Telephone Calls

Disruptions during work time can lead to errors and delays. Therefore, personal telephone calls must be kept to a minimum, and only be made or received after working time, or during lunch or break time.

For safety and security reasons, employees are prohibited from having personal guests visit or accompanying them anywhere in Company facilities other than the reception areas.

Confidentiality and Non-Disclosure

The protection of the Smallwood's confidential information ("Confidential Information") is vital to the interests and the success of Company. Such Confidential Information includes, but is not limited to, the following:

- Proprietary information related to Company, or other companies or individuals;
- Computer processes;
- Computer programs and codes;
- Customer lists;
- Customer preferences;
- Financial information;
- Marketing strategies;
- Pending projects and proposals;
- Research and development strategies;
- Technological data; and
- Technological prototypes.

Smallwood's Confidential Information is valuable and sensitive and is protected by law and by Company

policies. The intent of this policy is to ensure that Confidential Information will remain confidential—that it will be used only as necessary to fulfill employees' job responsibilities and accomplish the organization's mission.

Employees with access and exposure to Confidential Information are required to conduct themselves in conformance with applicable laws and policies governing Confidential Information.

In consideration of employees' access to Confidential Information, employees' obligations in protecting Confidential Information include but are not limited to:

- (1) Using Confidential Information only as needed to perform their legitimate duties as employees of Company, as defined in their job description, or as delegated by their supervisor. Only access Confidential Information for which employees have a need to know and not use, disclose, copy, loan, review, alter or destroy any Confidential Information except as properly authorized within the scope of their job duties.
- (2) Protecting and not disclosing any authorization code that allows employees to access Confidential Information. Accepting responsibility for all activities undertaken using their access code and other authorization.
- (3) All obligations will continue after termination of employee's access privileges and after termination of employment. Access privileges hereunder are subject to periodic review and revision. Further, Company may at any time revoke employee's access to Confidential Information.
- (4) Employees have no right or ownership interest in any Confidential Information.
- (5) Employees are responsible for their misuse or wrongful disclosure of Confidential Information and for their failure to protect their passwords or their breach of other security procedures.
- (6) Employees are required to present any boxes, crates, etc., to a supervisor for a search prior to leaving any Company facility.

Employees who improperly use or disclose Confidential Information will be subject to disciplinary action, up to and including termination of employment and legal action.

Nothing in this section prohibits employees from discussing terms and conditions of employment. Immunity from Liability for Confidential Disclosure of a Trade Secret to the Government or in a Court Filing.

The foregoing notwithstanding, employees will not be held criminally or civilly liable under any U.S. Federal or State trade secret law for disclosing a trade secret that is made (a) (i) in confidence to a U.S. Federal, State or local government official, either directly or indirectly, or to an attorney; and (ii) solely for the purpose of reporting or investigating a suspected violation of law; or (b) in a complaint or other document filed in a lawsuit or other proceeding, if such filing is made under seal.

I. Use of Trade Secret Information in Anti-Retaliation Lawsuit

Further, if an employee files a lawsuit against Company for retaliation by Smallwoods for the employee's reporting a suspected violation of law, the employee may disclose the trade secret to their attorney and use the trade secret information in the court proceeding, if the employee (a) files any document containing the trade secret under seal; and (b) does not disclose the trade secret, except pursuant to court order. Nothing in this Handbook provision is intended to conflict with 18 U.S.C. Sec. 1833(b) or create liability for disclosures of trade secrets that are expressly allowed by 18 U.S. C. Sec. 1833(b).

In addition to the foregoing, certain employees as a condition of employment may be required to execute one or more agreements regarding confidentiality, non-competition, or non-solicitation.

II. Obligations on Termination

On termination of employment, whether voluntary or involuntary, all tangible and intangible Company property must be returned to the Company immediately. This includes documents, materials, data files, and records of any kind, including any that contain Confidential Information, and any copies thereof. Also, the terminating employee must immediately notify the Company if the employee has Confidential Information stored in the employee's personal computer, or in a mobile, cloud, or other storage medium, and work with the Company to identify all such information and its location and help ensure it is retrieved and/or permanently deleted by the Company (or the Company's designated agent).

III. Security

To avoid loss of Company property, the Security/IT Department maintains and promulgates security procedures, which include maintaining control of entrances, exits, restricted areas, document control, and record keeping. Specific procedures regarding the protection of Company property, traffic throughout the facilities, and designation of restricted areas are issued by the Security Department and posted on Company bulletin boards. In addition, employees are expected to comply with Company policies regarding the authorized and secure use of the Company's computer technology Electronic Communication Systems and Social Networking policies. Employees are expected to abide by all of the company's security procedures.

Avoiding loss or theft of Confidential Information is an important part of each employee's job. Accordingly, employees must observe good security practices. Employees are expected to keep Confidential Information secure from outside visitors and all other persons who do not have legitimate reason to see or use such information. Employees are not to remove Company property without authorization. Failure to adhere to Company policies regarding Confidential Information will be considered grounds for dismissal.

Given the sensitivity of Confidential Information and Personal Identification Information, employees may only dispose of such information by secure methods approved by the Company. If an employee has any doubt or question about how to handle Confidential Information or Personal Identification Information, the employee should consult with the Company's Security Department.

Personal and Company-Provided Portable Communication Devices

Company-provided portable communication devices (PCDs), including cell phones and personal digital assistants, should be used primarily for business purposes. Employees have no reasonable expectation of privacy in regard to the use of such devices, and all use is subject to monitoring, to the maximum extent permitted by applicable law. This includes, as permitted, the right to monitor personal communications as necessary.

Some employees may be authorized to use their own PCD for business purposes. These employees should work with the IT department to configure their PCD for business use. Communications sent via a personal PCD also may be subject to monitoring if sent through the Company's networks and the PCD must be provided for inspection and review upon request.

All conversations, text messages and e-mails must be professional. When sending a text message or using a PCD for business purposes, whether it is a Company-provided or personal device, employees must comply with applicable Company guidelines, including policies on sexual harassment, discrimination, conduct, confidentiality, equipment use and operation of vehicles. Using Company-issued PCD to send or receive personal text messages is prohibited at all times and personal use during working hours should be limited to emergency situations.

If employees who use a personal PCD for business resign or are discharged, they will be required to submit the device to the IT department for resetting on or before their last day of work. At that time, the IT department will reset and remove all information from the device, including but not limited to, Company information and personal data (such as contacts, e-mails and photographs). The IT department will make efforts to provide employees with the personal data in another form (e.g., on a disk) to the extent practicable; however, the employee may lose some or all personal data saved on the device.

Employees may not use their personal PCD for business unless they agree to submit the device to the IT department on or before their last day of work for resetting and removal of Company information. This is the only way currently possible to ensure that all Company information is removed from the device at the time of termination. The removal of Company information is crucial to ensure compliance with the Company's confidentiality and proprietary information policies and objectives.

Please note that whether employees use their personal PCD or a Company -issued device, the Company's electronic communications policies, including but not limited to, proper use of communications and computer systems, remain in effect.

Electronic Communications Systems

This section sets forth some important rules relating to the use of Smallwood's "Electronic Communications Systems." The Company's Electronic Communications Systems include, but are not limited to, individual computers, laptops, e-mail, blogs, instant messages, connections to the Internet, voicemail, video conferencing, facsimiles, telephones, printers, copiers, smart phones, software, hardware, and digital files. Any other form of electronic communication used by employees currently or in the future is intended to be encompassed under this policy.

It may not be possible to identify every standard and rule applicable to the use of the Smallwood's Electronic Communications Systems. Employees are therefore encouraged to utilize sound judgment whenever using any feature of the Electronic Communications Systems. In order to offer employees some guidance, the following principles and standards should be clearly understood and followed:

- **Prohibitions against harassment and discrimination** - The Company maintains strict policies against unlawful discrimination and harassment based on any characteristic protected by local, state, or federal law. These anti-discrimination and anti-harassment policies apply to all employee conduct and extend to the use of the Company's Electronic Communications Systems. For example, the Company strictly prohibits the use of the Electronic Communications Systems to create, send, or deliver a message or information that is either harassing or offensive on the basis of any legally protected characteristic. This includes offensive information that involves or relates to such legally protected characteristics.
- **Prohibitions against offensive and defamatory conduct** - The use of the Electronic Communications Systems to send, transmit, deliver, or invite the receipt of offensive or harassing messages or information is strictly prohibited. However, this policy is not intended to

infringe upon employees' rights to engage in concerted activity or exercise other rights under the National Labor Relations Act.

- **Prohibitions against sexually suggestive material** - The use of the Electronic Communications Systems to disseminate, display, store, transmit, publish, solicit, or purposely receive any pornographic, obscene, or sexually suggestive or explicit material is prohibited.
- **Prohibitions against gambling** - The use of the Electronic Communications Systems to participate or engage, directly or indirectly, in any gambling activities or participate in games of chance is prohibited.
- **Trademark, copyrights and licenses** - For Company's protection, as well as your own, it is critical that you show proper respect for the laws governing copyright, fair use of copyrighted material owned by others, trademarks and other intellectual property, including the Company's own copyrights, trademarks, and brands.
- **Proprietary, confidential, and trade secret information** - Do not use or disclose the Smallwood's Confidential Information (as defined in this Handbook) except in the performance of your duties on behalf of Smallwoods. Unauthorized disclosure of Confidential Information, except in accordance with applicable law, to persons or entities outside of Company is prohibited.
- **Improper purposes** - Employees may not use or allow the Electronic Communications Systems to be used for any purpose that is competitive with the Company or misrepresents the employee's identity. Additionally, employees may not use the Company's Electronic Communications Systems to download games, other entertainment software, or large video/audio attachments.
- **Access** - Only persons with authorized access are permitted to use the Company's Electronic Communications Systems.
- **No right to privacy** - Employees should have no expectation of privacy with respect to the use of the Company's Electronic Communications Systems. The Company retains the right to gain access to any information received by or transmitted by the use of the Electronic Communications Systems in accordance with applicable law; this includes any personal email or internet account that is accessed using the Company's Electronic Communications Systems. The Company reserves the right to use and disclose any electronic communications and any information or material it obtains from its Electronic Communications Systems without the permission of, and without providing advance notice to any individual. This right includes the right to make disclosures to law enforcement officials.

Nothing in this section prohibits employees from discussing terms and conditions of employment.

I. Company Computer Equipment

Employees must take good care of company computer equipment and return it in good working condition if requested by Smallwoods or at time of termination.

II. Personal Computer Equipment

Employees may not use their personal computer equipment for Company business. Likewise, employees may not use their personal computer equipment on Company premises during working time without prior approval from the People Department. Working time is the time an employee is engaged, or should be engaged, in performing his or her job duties but does not include lunch or other break periods.

Social Networking

The Company understands that social media can be a fun and rewarding way to share your life and opinions with family, friends, and co-workers around the world. However, use of social media also presents certain risks and carries with it certain responsibilities. To assist you in making responsible decisions about your use of social media, we have established these guidelines for appropriate use of social media. This policy applies to all employees who work for Smallwoods.

In the rapidly expanding world of electronic communication, social media can mean many things. Social media includes all means of communicating or posting information or content of any sort on the Internet, including to your own or someone else's web log or blog, journal or diary, personal web site, social networking or affinity web site, web bulletin board or a chat room, whether or not associated or affiliated with the Company, as well as any other form of electronic communication. The same principles and guidelines found in the Smallwood's policies apply to your activities online.

Ultimately, you are solely responsible for what you post online. Before creating online content, consider some of the risks and rewards that are involved. Keep in mind that any of your conduct that adversely affects your job performance, the performance of fellow employees or otherwise adversely affects members, clients, suppliers, people who work on behalf of the Company or the Company's legitimate business interests may result in disciplinary action up to and including termination.

- Do not use Company's Electronic Communications Systems to create or set up personal social media accounts.
- Express only your personal opinions. Never represent yourself as a spokesperson for the Company. If the Company is a subject of the content you are creating, be clear and open about the fact that you are an employee and make it clear that your views do not represent those of the Company. If you do publish a blog or post online related to the work you do or subjects associated with the Company, make it clear that you are not speaking on behalf of the Company. If you publish a blog or post to a blog and it has something to do with the work you do or subjects associated with the Company, use a disclaimer such as this: "The postings on this site are my own and do not necessarily represent Company's positions, strategies, or opinions."
- Respect the laws regarding copyrights, trademarks, rights of publicity and other third-party rights. To minimize the risk of copyright violation, you should provide references to the source(s) of information you use and accurately cite copyrighted works you identify in your online communications. Do not infringe on Company's logos, brand names, taglines, slogans, or other trademarks.
- Carefully read the Standards of Conduct Policy, Confidentiality and Non-Disclosure Policy, and the Anti-Harassment Policy, and ensure your postings are consistent with these policies.
- Use your best judgment. There are always consequences to what you write. If you are about to post something that makes you even the slightest bit uncomfortable, review the suggestions above and think about why that is. You have sole responsibility for what you choose to post to your blog.
- Do not forget your day job. Do not use social media while working. "Working" is the time an employee is engaged, or should be engaged, in performing his or her job duties but does not include lunch periods or breaks.

Nothing in this section prohibits employees from discussing the terms and conditions of employment.

Mobile Device Policy

While driving vehicles (whether Company-owned or personal) during the course of performing duties as an employee of Smallwoods, employees are prohibited from the use of all handheld mobile devices including cell phones, smart phones, tablets, personal organizers, or other devices for work purposes while the vehicle is in motion. Moreover, all use of company-issued mobile devices, or personally owned mobile devices used for work-related purposes, must be made in accordance with Company policy Electronic Communications Systems and Social Networking policies.

Employees may use hands-free mobile devices while driving when safe and lawful to do so. Special care should be taken in situations where there is heavy traffic, inclement weather, or the employee is driving in an unfamiliar area. Employees must adhere to all federal, state, and local rules and regulations regarding the use of mobile devices while driving.

Under no circumstances are employees allowed to use mobile devices to write, send or read any emails, text or other written messages for work purposes while operating a motor vehicle, or for personal purposes while operating a motor vehicle during working hours or on Company business.

Telecommuting/Work from Home Policy

Telework requests will be handled on a case-by-case basis. While not all positions will be eligible, all requests for telecommuting should be submitted to your manager for consideration.

Outlined below are the specific policies with respect to telecommuting as well as the responsibilities of both the Company and the individual telecommuter

I. Overview

Telecommuting at the Company is not an employee benefit, nor is it intended to be available to all employees; rather it is a privilege and may be revoked at any time in the sole discretion of the company. The selection of individuals for a telecommuting arrangement is not based on any employee's race, color, national origin, age, sex, marital status, sexual orientation, disability, or any other legally protected status. The only basis for a decision is whether it will be beneficial for the Company.

- The home office (including the home itself) is considered an extension of the company's main office. All company policies and procedures including those governing employee conduct, performance, and safety are in full force and effect during your home work hours.
- This telecommuting arrangement can be withdrawn or terminated with or without notice by either party. If it is terminated, you will be required to return to your job at your office location. In addition, if your work performance suffers while you are participating in a telecommuting arrangement and/or your manager decides it is in the best interest of the Company for you to return to the office, you will be required to do so. If you choose not to return on the expected date, you will be subject to disciplinary action or considered to have voluntarily resigned and your employment status will be treated as such under the Company policies. The Company can revoke the telecommuting arrangement whether or not your performance has suffered.
- This telecommuting arrangement will have no effect on your salary, benefits, job responsibility, career opportunities and/or promotability.

II. Hours of Work

- Your total number of work hours are not expected to change during the period in which you telecommute, and you will be responsible for tracking your hours according to standard Company policy. Telecommuters may be required to work overtime as needed. (Note: Non-exempt employees require approval of their manager prior to working overtime.)
- You understand while working at home you are required to log into the Company system via Terminal Services. Access to Terminal Services must be confirmed from your home office prior to your telecommuting being effective. The Company has the right to monitor your log-in and log-out times of Terminal Server, and your productivity during the work-day. You understand this information can be used to amend or terminate this agreement.
- Your daily work schedule is subject to negotiation with, and approval by, your manager. Your manager will require that you work certain “core hours” during which you would be accessible by telephone or e-mail. You understand that management has the right to modify this agreement on a temporary basis as a result of business necessity.
- Business requirements, i.e.: training programs, special projects or meetings, may require that you spend more time in the office than usual during a particular week or other period. You will have to make arrangements accordingly and be flexible with your hours in order to meet the business need. You are not entitled to necessarily “make up” a telecommuting day during the week if business requirements require you to be in the office on a normal telecommuting day.
- You should set up a system with your manager for checking in with the office on a daily basis in the event that an emergency arises, i.e.: a pressing need for information, a change of project deadline, or a change in business conditions.

III. Equipment Repair/Security

- The Company may provide the necessary computer, modem, software and other equipment that it determines is necessary to do your job. All items will remain the property of the Company and must be returned to the Company in good working condition upon request, including but not limited to such cases as your extended illness, resignation, transfer, termination, or if the telecommuting arrangement ceases.
- The Company may choose to allow you to use personal equipment. The decision as to the type, nature, function, and/or quality of the equipment shall rest entirely with the Company. The Company will reimburse you for the reasonable wear and tear or use of applicable equipment. For example, if you use your own copy machine, the Company will reimburse you for the cost of paper and toner. You should contact your homeowners insurance carrier to find out to what extent your policy covers your property.
- Company equipment is for business purposes only. The equipment must not be used by family or friends. Company owned software may not be duplicated except as formally authorized and provided you agree to comply with all terms and conditions of software licensing agreements.
- The security of company property in your home is as important as in the office. You are expected to take reasonable precautions to protect the equipment from theft or damage.
- In the event of company equipment failure or malfunction, you must notify your manager to ensure immediate repair or replacement of such equipment. In the event of delay in repair or replacement of company or personal equipment, or any other circumstances in which it would be impractical for you to work at home, you will be assigned to work in the office.
- Should you lose your internet connection to the terminal server and reconnection cannot be made within 30 minutes, contact your supervisor immediately and return to the office.

- You understand that your personal vehicle will not be used for company business unless specifically authorized by the supervisor.

IV. Telecommuter System Requirements

Computer System: Windows 8.1 Pro or Windows 10 Pro, laptop and dock or notebook and dock with a minimum of 12GB of memory (preferably 16 GB), along with dual screen capabilities

Printer: Brand/type to be determined by IT

Internet Connection: Broadband connection; i.e. Cable Modem, Satellite

Audio: System to be determined by IT

Video: webcam is required embedded within the computer (laptops will include the webcam)

V. Expenses

- Office supplies as needed will be provided by the Company. Any out-of-pocket expenses for other supplies will be reimbursed only with the prior approval of your manager and in accordance with company normal expense reimbursement procedures.
- The Company will not reimburse you for travel expenses to and from the office, nor for any home-related expenses including but not limited to heat, air conditioning, electricity, insurance or personal monthly phone bills.

VI. Confidentiality of Proprietary Information

- You are to keep confidential all information regarding the business of the Company, its customers products, services, systems, business plans, or other proprietary information. It is your responsibility to safeguard such information and ensure that it is not accessible to others.

VII. Safety of Home Work Area

- The Company strongly recommends you set up a separate area for work in your home, “the home office.”
- The Company has the right to visit your home office to be sure it meets company standards for safety, security, and working conditions. Such visits would be scheduled in advance.
- It is your responsibility to ensure that equipment is placed where it is adequately physically supported. Electronic equipment should be plugged into properly grounded electrical outlets. Your designated work area must be free of potential tripping hazards and unnecessary clutter.
- In your home work area, you shall abide by all safety and health guidelines applicable to the office. Smoke detectors must be properly located and maintained in working order. Such purchase and maintenance costs will be your responsibility.
- You are required to provide your own furniture. Your work environment should be adjustable or subject to modification to meet minimum ergonomic guidelines. If you cannot work on your existing furniture, your options are to return to the office or purchase the proper furniture that meets these requirements. If the purchasing of such furniture is required, the company will reimburse you for such expenditures, but you must get advance approval from your manager prior to making any such purchase. You may opt to purchase the equipment at your own expense and keep the property once the telecommute arrangement ends either as a result of termination of your employment or for any other reason. If the company pays for the equipment, you must remit the equipment to the company once the telecommute arrangement ends.

VIII. Liability for Injuries

- You must immediately report to your manager in writing any injuries sustained as a result of performing work for the Company in your home and home office work area. If you are injured in your home in the course and scope of your employment, you may be eligible for workers' compensation benefits. The Company assumes no responsibility for any injuries to third persons and/or members of your household that occur in the designated home work area. Injuries that occur to third persons and/or members of your household in your home, but outside the designated work area, will not be the responsibility of the Company.

IX. Job Performance

- All People Department policies, those described in the Company Employee Handbook, including those relating to job performance, remain in effect. That means that your performance will be monitored by your manager, and you will be expected to comply with any and all productivity and quality standards that are applicable to you in the office. Disciplinary action, up to and including termination of employment, may result for failure to meet established performance standards.

X. Miscellaneous Provisions

- It is expected that you will not use telecommuting as a substitute for dependent care. It is your responsibility to ensure that you are fully able to complete your work assignments in an acceptable and timely manner. Dependent care is also not an acceptable reason to "switch" your telecommuting days during the week.
- It is your responsibility to determine any income tax implications of maintaining a home office. The Company will not provide tax guidance nor assume any additional tax liabilities.
- It is your responsibility to comply with all applicable local laws including zoning ordinances/regulations regarding using your home as a workplace.
- A change in your weekly schedule must be submitted and approved by your manager.

Electronic Surveillance

The Company reserves the right to install security cameras in work areas for specific business reasons, such as security, theft protection or protection of proprietary information. The Company may find it necessary to monitor work areas with security cameras when there is a specific job or business-related reason to do so. The Company will do so only after first ensuring that such action is in compliance with state and federal laws. Employees should not expect privacy in work-related areas. Employee privacy in nonwork areas will be respected to the extent possible. The Company's reasonable suspicion of an onsite drug use, physical abuse, theft, or similar circumstances would be possible exceptions. Employees should contact their supervisor or the People Department if they have questions about this policy.

External Communications

Occasionally employees may be contacted by outside sources requesting information about Company matters, including information regarding current or former employees, Company projects, or other workplace issues. In order to avoid providing inaccurate or incomplete information to outside sources, and the possible negative exposure that may result from providing information about the Company to outside sources, any employee asked to speak for or on behalf of the Company by any outside source should immediately contact the appropriate Company official, as detailed below.

Employees violating this policy may be subject to discipline, up to and including termination of employment.

This policy is in no way intended to prohibit an employee from documenting and speaking with outside third parties regarding perceived or alleged unacceptable or illegal working conditions. The policy is also in no way intended to deter any employee from speaking with any individual regarding labor organizing.

I. Media Contacts

The Company strives to anticipate and manage crisis situations in order to reduce disruption to its employees and to maintain its reputation as a high-quality company. To best serve these objectives, Smallwoods will respond to news media in a timely and professional manner only through its designated spokesperson. If an employee is contacted by a representative from any media organization (e.g., television, radio, or newspaper reporters) to speak for or on behalf of the Company, the employee should notify the media representative that they are not authorized to make a public comment on behalf of the Company and immediately refer the media representative to the President/CEO. No employee may communicate with media agents on behalf of the Company without prior authorization from the President/CEO.

II. Outside Attorneys and Investigators

If an employee is contacted by an outside attorney or investigator regarding Company business, including information regarding current or former employees, Company projects, or other workplace issues, the employee should inform the inquiring party that they are not authorized to speak on behalf of the Company and immediately obtain the individual's name and telephone number. The individual's name and telephone number should then be provided to the People Department. Nothing in this policy restricts an employee from discussing their wages or other terms and conditions of employment with coworkers or others, to the extent protected by law.

III. Employment References and Verifications

Employees contacted by outside sources requesting an employment reference or employment verification for a current or former employee should not provide any information to the requesting individual or organization. Instead, employees should refer the requesting individual or organization to the People Department. No employee, other than the Director of People, is authorized to provide employment references or employment verifications for any current or former employee. The Company's authorized representative(s) may verify dates of employment and last position held but will not disclose any other information unless the current or former employee provides written authorization to the Company to provide additional detail.

Dress and Grooming Standards

The Company considers the presentation of the Company image to its customers, suppliers, and the public at large to be extremely important. Since the Company's product includes service, and excellent service can only be provided through its employees, the Company not only seeks good performance and conduct from its employees, but also expects them to observe high standards in their personal presentation.

At Smallwoods Management Company, we believe in maintaining a professional and comfortable work environment. Our dress code is designed to reflect our commitment to professionalism while allowing employees to dress in a manner that is comfortable and suitable for their roles. This policy outlines the general guidelines for appropriate attire at our workplace.

Employees are expected to maintain a professional appearance that aligns with the nature of their job and the image of the company. This includes cleanliness, neatness, and attention to personal grooming. Shorts are permitted, provided they are of an appropriate length. Shorts should extend to at least mid-thigh or longer. Extremely short shorts, cutoffs, or beachwear shorts are not allowed. Tank tops are allowed, but they should have straps that are at least two inches in width. Spaghetti straps, halter tops, or any other styles that expose excessive skin are not permitted.

Employees should wear closed-toe shoes with non-slip soles. Sandals, flip-flops, "Crocs", and open-toe shoes are not suitable for the workplace.

Visible tattoos should be tasteful and not offensive or distracting. Offensive tattoos or tattoos that promote discrimination, violence, or illegal activities are not permitted. Smallwoods reserves the right to require tattoos that are deemed distasteful, be covered.

Facial piercings should be subtle and not excessive. Nose rings, eyebrow piercings, and lip piercings should be of modest size and design.

Employees are expected to maintain good personal hygiene, including regular bathing and grooming.

Smallwoods Management Company values the professionalism and comfort of its employees. We trust that employees will use their discretion and judgment when selecting their attire, ensuring it aligns with our dress code policy. Failure to comply with this policy may result in corrective action, up to and including termination.

Accordingly, while the Company has no formal dress code, it expects all employees to dress in a manner consistent with good hygiene, safety, and good taste and, as a minimum, closed toe shoes must be worn in all production work areas. Further, no sandals or Crocs may be worn.

Nothing in this dress code is intended or should be construed to violate, restrict or discriminate against any employee's actual or perceived race, religion, religious creed, sex, sexual orientation, gender, gender identity or status, gender expression, national origin, ancestry, age, nursing mothers, or any other basis protected by local, state, or federal laws. If any employee believes that their protected rights based upon a protected class are being restricted or violated in some manner by the dress code, please contact your manager or Director of People so that these concerns can be addressed. Any employee who needs a medical or religious accommodation to the Company's dress and grooming standards should contact the People Department.

Smoking

Smoking and vaping are prohibited inside all of the Smallwood's facilities. Smoking and vaping are permitted outside the buildings in designated areas only. Employees must use designated receptacles. Employees may smoke or vape only during scheduled break times, before scheduled starting time, and after scheduled leave time.

Solicitation, Distribution, and Bulletin Boards

Employees shall not solicit or distribute written materials during working time for any purpose. Working time includes the working time of both the employee doing the soliciting or distributing and the employee to whom the soliciting or distributing is directed. Working time does not include break periods, mealtimes, or other specified periods during the workday when employees are not properly engaged in their work.

This policy also prohibits solicitations conducted during working time through e-mail, voice mail, and other forms of electronic communication. In addition, solicitation is prohibited in any other areas where solicitation would disrupt operations or disturb employees. Further, employees shall not solicit or distribute written materials at any time for any purpose in working areas. Working areas are all areas at Smallwoods except employee lounges, employee restrooms, parking lots, and other designated employee non-working areas.

Persons not employed by Smallwoods shall not solicit or distribute material on Company property at any time, for any purpose. Prior to posting any written materials on any walls or bulletin boards, approval must be received from the People Department. The solicitation and distribution rules above may be subject to minimal beneficent exceptions at the sole discretion of Company's CEO.

The Company has bulletin boards located throughout the facility for the purpose of communicating with employees. Postings on these boards are limited to items posted by the Company, including statutory and legal notices, safety and disciplinary rules, Company policies, memos of general interest relating to the Company, local operating rules, and other Company items. All postings require the prior approval of the Division Manager or the Director of People representative. No postings will be permitted for any other purpose.

Operation of Vehicles

Employees who are required to drive a company or personal vehicle on company business will be required to show proof of current, valid driver licenses.

All employees who drive as a part of their job and any of its passenger(s), must wear a seat belt. Under no circumstances will you drive while under the influence of drugs and/or alcohol. It is the responsibility of every employee to drive safely and obey all traffic, vehicle safety, and parking laws or regulations. Drivers must always demonstrate safe driving habits.

Company owned or leased vehicles may be used only as authorized by management. The Company retains the right to transfer to an alternative position, suspend or terminate an employee whose license is revoked, or who is uninsurable under the Company's policy.

I. Personal Vehicles

If a company vehicle is not available, employees may use their personal vehicles on Company business provided prior approval has been obtained from their supervisor and the employee carries full insurance coverage on the automobile. A mileage rate based on acceptable and current Company guidelines will be paid to an employee who uses their personal vehicle on Company business. Minimum insurance requirements as specified by Smallwood's insurance carrier must be in effect at the time the employee's personal vehicle is used. An employee is required to provide proof of insurance.

Holidays

Company recognizes the following paid holidays, by closing its offices:

New Year's Day
Good Friday (Easter)
Memorial Day
Independence Day
Labor Day
Thanksgiving Day
*Friday After Thanksgiving
Christmas Eve
Christmas Day

Eligible employees will receive a day off on each of the holidays listed above.

I. Eligibility

Upon date of hire, regular full-time non-exempt employees shall receive compensation for such holidays, at their customary hourly rate of pay for eight (8) hours per holiday; provided the holiday falls on a day they would normally have been scheduled to work. Part-time and temporary employees are not eligible for paid holiday benefits.

Management may determine it necessary for some employees to work on designated Holidays. Those that are required to work will receive their regular pay based on hours worked as well as the additional 8 hours described above. The Company reserves the right to determine how many and which holidays will be paid per year. Moreover, all employees are ineligible for holiday benefits while they are on leave of absence.

Non-exempt employees must work their scheduled workday before and after the holiday in order to be eligible for holiday pay, unless the employee is absent with prior permission from their supervisor.

II. Weekends and Vacations

Holidays falling on Saturdays will normally be observed on the preceding Friday. Holidays falling on Sundays will normally be observed on the following Monday. However, management reserves the right to choose other days on which holidays will be observed. Holidays that occur during an eligible employee's vacation/PTO will not be counted as vacation days taken.

III. Rate of Pay

*All employees will receive 8 hours of holiday pay but, because it is our busiest time of year, management may determine it necessary for some employees to work that day. Those that are required to work will receive their eight hours of holiday pay, as well as regular pay for the hours worked. Overtime pay may apply.

Paid Time Off

Smallwoods provides PTO benefits to eligible employees to enable them to take paid time off for rest and recreation. The Company believes that this time is valuable for employees in order to enhance their productivity and make their work experience with the Company personally satisfying. PTO may be used for vacation, personal illness, injury, medical and dental appointments, emergencies, family and medical

leave, disability leave, personal days, any reason for which paid sick and/or safe leave is allowed under applicable local ordinances and other personal business. PTO is defined as hours compensated at an employee's customary rate of pay. Employees credited with PTO on the basis of length of service.

I. Eligibility

All regular full-time employees who have completed at least 90 days of continuous service with the Company are eligible to receive PTO benefits. Part-time, Seasonal and Temporary employees are ineligible for PTO benefits.

II. PTO Amount

The calendar year during which a new employee completes their 90-day introductory Period is considered to be Year Zero. Upon completion of the 90-day introductory Period, employees will be eligible for a pro-rated number of hours of PTO based on the remaining number of days in Year Zero. Year One will begin on January 1st following the completion of the 90-day Introductory Period. ~~On January 1st of each~~ The following calendar year following Year One, all employees will be eligible for the number of PTO hours shown in the schedule below, based on their years of service. One-fourth (1/4) of each employees PTO hours will be awarded on the first paycheck date after January 1st of each year, the remaining PTO will be awarded, in ¼ increments, at the end of each quarter. (Quarters ending March 31st, June 30th, and September 30th)

Year Zero	80.0 Hours of PTO
(Prorated based on number of days remaining in the calendar year after Introductory Period)	
January 1 st of Year One	80.0 Hours of PTO
January 1 st of Year Two	100.0 Hours of PTO
January 1 st of Year Three	120.0 Hours of PTO
January 1 st of Year Four	140.0 Hours of PTO
January 1 st of Year Five	160.0 Hours of PTO
January 1 st of Year Six	180.0 Hours of PTO

The PTO maximum carry-over from one year to the next for full-time employees is 200 hours. At the end of the calendar year, any balance of PTO hours above 200 will be forfeited. Employees that take an extended unpaid leave of absence (more than 30 days) or while on disability salary continuation may have their PTO proportionately reduced by the number of days on leave.

III. Bonus PTO hours

Smallwood's believes that week-long vacations are beneficial to mental health, physical health, general well-being, motivation, decreased burnout and greater happiness. We think it's best for our employees to take at least one week-long vacation each year. To encourage that, beginning in Year One, Smallwood's offers an eight (8) hour PTO bonus for employees who schedule the use of at least 40 consecutive hours of PTO. As an example, if an employee schedules 40 consecutive PTO hours to be used Monday through Friday, only 32 PTO hours will be deducted from their PTO balance. This Bonus will be available beginning in Year One, may be used only once each calendar year, and may not be carried over to the next year.

IV. Compensation For PTO

Eligible employees will receive pay at their normal base rate for any PTO taken. However, employees

who are absent during their introductory periods will not be compensated. No employee will receive pay in lieu of PTO except on the termination of their employment, as described below, unless the employee has deferred their PTO at the Company's request.

IV. Approvals For PTO

Employees may not take more than Ten (10) consecutive days of PTO, (Holidays shall be included in the calculation of consecutive days off) unless approved by their supervisor and the Director of People.

V. PTO Used to Supplement Pay Periods

Employees may use PTO to supplement hours worked in the current pay period. Requests to use PTO as supplemental hours must be received in writing by the People Department by 5:00 pm, on the last Friday of each pay period and must be used in 2-hour increments.

Absences utilizing PTO must be scheduled in advance and approved by the employee's supervisor, except in cases of illness or emergency. All requests shall be considered on a first come, first-serve basis, and may be approved by the supervisor.

With approval from the Director of People, employees may donate PTO to other employees.

VI. PTO Advances

An employee is not permitted to borrow on future accrual of PTO benefits.

VII. Payment of PTO Upon Separation from Company

Employees who are terminated without cause or resign in good standing with proper notice of termination will receive payment for any unused accrued PTO. If an employee is terminated with cause or resigns without proper notice, payment of unused accrued PTO is forfeited.

Payment for any unused PTO will be prorated based on days remaining in the calendar year as follows:
 $((\text{Days Worked} / 260) \times \text{PTO Hours Received on January 1}) - \text{PTO Hours Used} = \text{PTO Hours Eligible for Pay}$

VIII. PTO for Illness or Injury and During Leaves of Absence

In the event of an anticipated medically related leave of absence, employees must provide their supervisors with as much prior notice as possible.

If you are absent for three (3) consecutive days for medical reasons, upon your return to work you will be required to provide a note from your healthcare provider verifying that your absence was related to a health condition and that you are able to return to work and perform the essential functions of your job, with or without restrictions.

In the event you become unable to work for a period extending beyond the initial three (3) days for any reason, you must promptly advise Smallwoods in writing of the anticipated duration of the leave. In the event you are incapable of notifying the Company in writing, a relative (a person who is related by blood or marriage, or whose relationship with the employee is similar to that of persons who are related by blood or marriage) may do so on your behalf. This leave request is required to be verified by your healthcare provider.

PTO is not required to be used by an employee for absences related to an employee's medical condition. Following the exhaustion of PTO, unpaid medical leave may be provided by Smallwoods in accordance with applicable law including the Americans with Disabilities Act and the Family and Medical Leave Act.

IX. PTO Black-out Periods

The company may designate black-out periods during which PTO may not be used, except for illness.

Employees should expect this black-out period to generally begin November 1st of each year and end about December 15th of each year. However, the Company may adjust these dates or the dates of any other black-out period.

Leaves of Absence

I. Family and Medical Leave Act (FMLA)

The Company will provide Family and Medical Leave to its eligible employees. The company posts the mandatory FMLA Notice and upon hire provides all new employees with notices required by the U.S. Department of Labor (DOL) on Employee Rights and Responsibilities under the Family and Medical Leave Act in the break room at 1512 Colony Cir, Longview, Texas.

The function of this policy is to provide employees with a general description of their FMLA rights. In the event of any conflict between this policy and the applicable law, employees will be afforded all rights required by law.

If you have any questions, concerns, or disputes with this policy, you must contact the Director of People in writing.

A. General Provisions

Under this policy, the Company will grant up to 12 weeks (or up to 26 weeks of military caregiver leave to care for a covered servicemember with a serious injury or illness) during a 12-month period to eligible employees. The leave may be paid, unpaid or a combination of paid and unpaid leave, depending on the circumstances of the leave and as specified in this policy.

B. Eligibility

To qualify to take family or medical leave under this policy, the employee must meet all of the following conditions:

- 1) The employee must have worked for the company for 12 months or 52 weeks. The 12 months or 52 weeks need not have been consecutive. Separate periods of employment will be counted, provided that the break in service does not exceed seven years. Separate periods of employment will be counted if the break in service exceeds seven years due to National Guard or Reserve military service obligations or when there is a written agreement, including a collective bargaining agreement, stating the employer's intention to rehire the employee after the service break. For eligibility purposes, an employee will be considered to have been employed for an entire week even if the employee was on the payroll for only part of a week or if the employee is on leave during the week.
- 2) The employee must have worked at least 1,250 hours during the 12-month period immediately preceding the commencement of the leave. The 1,250 hours do not include time spent on paid or unpaid leave. Consequently, these hours of leave should not be counted in determining the 1,250 hours eligibility test for an employee under FMLA.

- 3) The employee must work in a worksite where 50 or more employees are employed by the company within 75 miles of that office or worksite. The distance is to be calculated by using available transportation by the most direct route.

C. Type of Leave Covered

To qualify as FMLA leave under this policy, the employee must be taking leave for one of the reasons listed below:

- 1) The birth of a child and in order to care for that child.
- 2) The placement of a child for adoption or foster care and to care for the newly placed child.
- 3) To care for a spouse, child or parent with a serious health condition (described below).
- 4) The serious health condition (described below) of the employee.

An employee may take leave because of a serious health condition that makes the employee unable to perform the functions of the employee's position.

A serious health condition is defined as a condition that requires inpatient care at a hospital, hospice or residential medical care facility, including any period of incapacity or any subsequent treatment in connection with such inpatient care or a condition that requires continuing care by a licensed health care provider.

This policy covers illnesses of a serious and long-term nature, resulting in recurring or lengthy absences. Generally, a chronic or long-term health condition that would result in a period of three consecutive days of incapacity with the first visit to the health care provider within seven days of the onset of the incapacity and a second visit within 30 days of the incapacity would be considered a serious health condition. For chronic conditions requiring periodic health care visits for treatment, such visits must take place at least twice a year.

Employees with questions about what illnesses are covered under this FMLA policy or under the company's sick leave policy are encouraged to consult with the People Department Benefits Shepherd. If an employee takes paid sick leave for a condition that progresses into a serious health condition and the employee requests unpaid leave as provided under this policy, the company may designate all or some portion of related leave taken as leave under this policy, to the extent that the earlier leave meets the necessary qualifications.

- 5) Qualifying exigency leave for families of members of the National Guard or Reserves or of a regular component of the Armed Forces when the covered military member is on covered active duty or called to covered active duty.

An employee whose spouse, son, daughter, or parent either has been notified of an impending call or order to covered active military duty or who is already on covered active duty may take up to 12 weeks of leave for reasons related to or affected by the family member's call-up or service. The qualifying exigency *must be one of the following*:

- a. *short-notice deployment*
- b. *military events and activities*
- c. *childcare and school activities*
- d. *financial and legal arrangements*
- e. *counseling*
- f. *rest and recuperation*
- g. *post-deployment activities, and*
- h. *additional activities that arise out of active duty, provided that the employer and employee agree, including agreement on timing and duration of the leave.*

Eligible employees are entitled to FMLA leave to care for a current member of the Armed Forces,

including a member of the National Guard or Reserves, or a member of the Armed Forces, the National Guard or Reserves who is on the temporary disability retired list, who has a serious injury or illness incurred in the line of duty on active duty for which he or she is undergoing medical treatment, recuperation, or therapy; or otherwise in outpatient status; or otherwise on the temporary disability retired list. Eligible employees may not take leave under this provision to care for former members of the Armed Forces, former members of the National Guard and Reserves, and members on the permanent disability retired list.

In order to care for a covered servicemember, an eligible employee must be the spouse, son, daughter, or parent, or next of kin of a covered servicemember.

- a) A “son or daughter of a covered servicemember” means the covered servicemember's biological, adopted, or foster child, stepchild, legal ward, or a child for whom the covered servicemember stood in loco parentis, and who is of any age.
- b) A “parent of a covered servicemember” means a covered servicemember's biological, adoptive, step or foster father or mother, or any other individual who stood in loco parentis to the covered servicemember. This term does not include parents “in law.”
- c) Under the FMLA, a “spouse” means a husband or wife, including those in same-sex marriages, which were made legal in all 50 United States as of June 26, 2015.
- d) The “next of kin of a covered servicemember” is the nearest blood relative, other than the covered servicemember's spouse, parent, son, or daughter, in the following order of priority: blood relatives who have been granted legal custody of the servicemember by court decree or statutory provisions, brothers and sisters, grandparents, aunts and uncles, and first cousins, unless the covered servicemember has specifically designated in writing another blood relative as his or her nearest blood relative for purposes of military caregiver leave under the FMLA. When no such designation is made, and there are multiple family members with the same level of relationship to the covered servicemember, all such family members shall be considered the covered servicemember's next of kin and may take FMLA leave to provide care to the covered servicemember, either consecutively or simultaneously. When such designation has been made, the designated individual shall be deemed to be the covered servicemember's only next of kin. For example, if a covered servicemember has three siblings and has not designated a blood relative to provide care, all three siblings would be considered the covered servicemember's next of kin. Alternatively, where a covered servicemember has a sibling(s) and designates a cousin as his or her next of kin for FMLA purposes, then only the designated cousin is eligible as the covered servicemember's next of kin. An employer is permitted to require an employee to provide confirmation of covered family relationship to the covered servicemember pursuant to § 825.122(k).

“Covered active duty” means:

- (a) “Covered active duty” for members of a regular component of the Armed Forces means duty during deployment of the member with the Armed Forces to a foreign country.
- (b) (2) Covered active duty or call to covered active duty status in the case of a member of the Reserve components of the Armed Forces means duty during the deployment of the member with the Armed Forces to a foreign country under a Federal call or order to active duty in support of a contingency operation, in accordance with 29 CR 825.102.

The leave may commence as soon as the individual receives the call-up notice. (Son or daughter for this type of FMLA leave is defined the same as for child for other types of FMLA leave except that the person does not have to be a minor.) This type of leave would be counted toward the employee's 12-week

maximum of FMLA leave in a 12-month period.

- 6) Military caregivers leave (also known as covered servicemember leave) to care for an injured or ill servicemember or veteran.

An employee whose son, daughter, parent or next of kin is a covered servicemember may take up to 26 weeks in a single 12-month period to take care of leave to care for that servicemember.

Next of kin is defined as the closest blood relative of the injured or recovering servicemember.

The term "covered servicemember" means:

- (a) a member of the Armed Forces (including a member of the National Guard or Reserves) who is undergoing medical treatment, recuperation, or therapy, is otherwise in outpatient status, or is otherwise on the temporary disability retired list, for a serious injury or illness; or
- (b) a veteran who is undergoing medical treatment, recuperation, or therapy, for a serious injury or illness and who was a member of the Armed Forces (including a member of the National Guard or Reserves) at any time during the period of 5 years preceding the date on which the veteran undergoes that medical treatment, recuperation, or therapy.

The term "serious injury or illness means:

- (a) in the case of a member of the Armed Forces (including a member of the National Guard or Reserves), means an injury or illness that was incurred by the member in line of duty on active duty in the Armed Forces (or existed before the beginning of the member's active duty and was aggravated by service in line of duty on active duty in the Armed Forces) and that may render the member medically unfit to perform the duties of the member's office, grade, rank, or rating;
- (b) in the case of a veteran who was a member of the Armed Forces (including a member of the National Guard or Reserves) at any time during a period when the person was a covered servicemember, means a qualifying (as defined by the Secretary of Labor) injury or illness incurred by a covered servicemember in the line of duty on active duty that may render the servicemember medically unfit to perform the duties of his or her office, grade, rank or rating.
- (c) Outpatient status, with respect to a covered servicemember, means the status of a member of the Armed Forces assigned to either a military medical treatment facility as an outpatient; or a unit established for the purpose of providing command and control of members of the Armed Forces receiving medical care as outpatients.

D. Amount of Leave

An eligible employee can take up to 12 weeks for the FMLA circumstances (1) through (5) above under this policy during any 12-month period. The company will measure the 12-month period as a rolling 12-month period measured backward from the date an employee uses any leave under this policy. Each time an employee takes leave, the company will compute the amount of leave the employee has taken under this policy in the last 12 months and subtract it from the 12 weeks of available leave, and the balance remaining is the amount the employee is entitled to take at that time.

An eligible employee can take up to 26 weeks for the FMLA circumstance (6) above (military caregiver leave) during a single 12-month period. For this military caregiver leave, the company will measure the 12-month period as a rolling 12-month period measured forward. FMLA leave already taken for other FMLA circumstances will be deducted from the total of 26 weeks available.

If spouses both work for the company and each wishes to take leave for the birth of a child, adoption or placement of a child in foster care, or to care for a parent (but not a parent "in-law") with a serious

health condition, the spouses may only take a combined total of 12 weeks of leave. If spouses both work for the company and each wishes to take leave to care for a covered injured or ill servicemember, the spouses may only take a combined total of 26 weeks of leave.

E. Employee Status and Benefits During Leave

While an employee is on leave, the company will continue the employee's health benefits during the leave period at the same level and under the same conditions as if the employee had continued to work.

If the employee chooses not to return to work for reasons other than a continued serious health condition of the employee or the employee's family member or a circumstance beyond the employee's control, the Company will require the employee to reimburse the Company the amount it paid for the employee's share of the health insurance premium during the leave period.

Under current company policy, the employee pays a portion of the health care premium. While on paid leave, the employer will continue to make payroll deductions to collect the employee's share of the premium. While on unpaid leave, the employee's portion of the health care premium will be paid by the Company. The employer may recover the costs incurred for paying the employee's share of any premiums from future earnings and may recover the cost whether or not the employee returns to work.

If the employee contributes to a life insurance or disability plan, the employer will continue making payroll deductions while the employee is on paid leave. While the employee is on unpaid leave, the employee may request continuation of such benefits and pay his or her portion of the premiums, or the employer may elect to maintain such benefits during the leave and pay the employee's share of the premium payments. If the employer maintains coverage, the employer may recover the costs incurred for paying the employee's share of any premiums from future earning, whether or not the employee returns to work.

F. Employee Status After Leave

An employee who takes leave under this policy may be asked to provide a fitness for duty (FFD) clearance from the health care provider. This requirement will be included in the employer's response to the FMLA request. Generally, an employee who takes FMLA leave will be able to return to the same position or a position with equivalent status, pay, benefits and other employment terms. The position will be the same or one which is virtually identical in terms of pay, benefits and working conditions. The company may choose to exempt certain key employees from this requirement and not return them to the same or similar position.

G. Use of Paid and Unpaid Leave

An employee who is taking FMLA leave because of the employee's own serious health condition or the serious health condition of a family member must use all paid vacation, personal or sick leave prior to being eligible for unpaid leave. Sick leave may be run concurrently with FMLA leave if the reason for the FMLA leave is covered by the established sick leave policy.

Disability leave for the birth of the child and for an employee's serious health condition, including workers' compensation leave (to the extent that it qualifies), will be designated as FMLA leave and will run concurrently with FMLA. For example, if an employer provides six weeks of pregnancy disability leave, the six weeks will be designated as FMLA leave and counted toward the employee's 12-week entitlement. The employee may then be required to substitute accrued (or earned) paid leave as

appropriate before being eligible for unpaid leave for what remains of the 12-week entitlement. An employee who is taking leave for the adoption or foster care of a child must use all paid vacation, personal or family leave prior to being eligible for unpaid leave.

An employee who is using military FMLA leave for a qualifying exigency must use all paid vacation and personal leave prior to being eligible for unpaid leave. An employee using FMLA military caregiver leave must also use all paid vacation, personal leave or sick leave (as long as the reason for the absence is covered by the company's sick leave policy) prior to being eligible for unpaid leave.

H. Intermittent Leave or a Reduced Work Schedule

The employee may take FMLA leave in 12 consecutive weeks, may use the leave intermittently (take a day periodically when needed over the year) or, under certain circumstances, may use the leave to reduce the workweek or workday, resulting in a reduced hour schedule. In all cases, the leave may not exceed a total of 12 workweeks (or 26 workweeks to care for an injured or ill servicemember over a 12-month period).

The company may temporarily transfer an employee to an available alternative position with equivalent pay and benefits if the alternative position would better accommodate the intermittent or reduced schedule, in instances of when leave for the employee or employee's family member is foreseeable and for planned medical treatment, including recovery from a serious health condition or to care for a child after birth, or placement for adoption or foster care.

For the birth, adoption or foster care of a child, the company and the employee must mutually agree to the schedule before the employee may take the leave intermittently or work a reduced hour schedule. Leave for birth, adoption or foster care of a child must be taken within one year of the birth or placement of the child.

If the employee is taking leave for a serious health condition or because of the serious health condition of a family member, the employee should try to reach agreement with the company before taking intermittent leave or working a reduced hour schedule. If this is not possible, then the employee must prove that the use of the leave is medically necessary.

I. Certification for the Employee's Serious Health Condition

The company will require certification for the employee's serious health condition. The employee must respond to such a request within 15 days of the request or provide a reasonable explanation for the delay. Failure to provide certification may result in a denial of continuation of leave. Medical certification will be provided using the DOL Certification of Health Care Provider for Employee's Serious Health Condition.

The company may directly contact the employee's health care provider for verification or clarification purposes using a health care professional, an HR professional, leave administrator or management official. The company will not use the employee's direct supervisor for this contact. Before the company makes this direct contact with the health care provider, the employee will be given an opportunity to resolve any deficiencies in the medical certification. In compliance with HIPAA Medical Privacy Rules, the company will obtain the employee's permission for clarification of individually identifiable health information.

The company has the right to ask for a second opinion if it has reason to doubt the certification. The

company will pay for the employee to get a certification from a second doctor, which the company will select. The company may deny FMLA leave to an employee who refuses to release relevant medical records to the health care provider designated to provide a second or third opinion. If necessary, to resolve a conflict between the original certification and the second opinion, the company will require the opinion of a third doctor. The company and the employee will mutually select the third doctor, and the company will pay for the opinion. This third opinion will be considered final. The employee will be provisionally entitled to leave and benefits under the FMLA pending the second and/or third opinion.

J. Certification for the Family Member's Serious Health Condition

The company will require certification for the family member's serious health condition. The employee must respond to such a request within 15 days of the request or provide a reasonable explanation for the delay. Failure to provide certification may result in a denial of continuation of leave. Medical certification will be provided using the DOL Certification of Health Care Provider for Family Member's Serious Health Condition.

The company may directly contact the employee's family member's health care provider for verification or clarification purposes using a health care professional, an HR professional, leave administrator or management official. The company will not use the employee's direct supervisor for this contact. Before the company makes this direct contact with the health care provider, the employee will be given an opportunity to resolve any deficiencies in the medical certification. In compliance with HIPAA Medical Privacy Rules, the company will obtain the employee's family member's permission for clarification of individually identifiable health information.

The company has the right to ask for a second opinion if it has reason to doubt the certification. The company will pay for the employee's family member to get a certification from a second doctor, which the company will select. The company may deny FMLA leave to an employee whose family member refuses to release relevant medical records to the health care provider designated to provide a second or third opinion. If necessary, to resolve a conflict between the original certification and the second opinion, the company will require the opinion of a third doctor. The company and the employee will mutually select the third doctor, and the company will pay for the opinion. This third opinion will be considered final. The employee will be provisionally entitled to leave and benefits under the FMLA pending the second and/or third opinion.

K. Certification of Qualifying Exigency for Military Family Leave

The company will require certification of the qualifying exigency for military family leave. The employee must respond to such a request within 15 days of the request or provide a reasonable explanation for the delay. Failure to provide certification may result in a denial of continuation of leave. This certification will be provided using the DOL Certification of Qualifying Exigency for Military Family Leave.

L. Certification for Serious Injury or Illness of Covered Servicemember for Military Family Leave

The company will require certification for the serious injury or illness of the covered servicemember. The employee must respond to such a request within 15 days of the request or provide a reasonable explanation for the delay. Failure to provide certification may result in a denial of continuation of leave. The DOL Certification for Serious Injury or Illness of Covered Servicemember will be used for this.

M. Recertification

The company may request recertification for the serious health condition of the employee or the employee's family member no more frequently than every 30 days unless circumstances have changed significantly, or if the employer receives information casting doubt on the reason given for the absence, or if the employee seeks an extension of his or her leave. Otherwise, the company may request recertification for the serious health condition of the employee or the employee's family member every six months in connection with an FMLA absence. The company may provide the employee's health care provider with the employee's attendance records and ask whether need for leave is consistent with the employee's serious health condition.

N. Procedure for Requesting FMLA Leave

All employees requesting FMLA leave must provide verbal or written notice of the need for the leave to the HR manager. Within five business days after the employee has provided this notice, the HR manager will complete and provide the employee with the DOL Notice of Eligibility and Rights.

When the need for the leave is foreseeable, the employee must provide the employer with at least 30 days' notice. When an employee becomes aware of a need for FMLA leave less than 30 days in advance, the employee must provide notice of the need for the leave either the same day or the next business day. When the need for FMLA leave is not foreseeable, the employee must comply with the company's usual and customary notice and procedural requirements for requesting leave, absent unusual circumstances.

O. Designation of FMLA Leave

Within five business days after the employee has submitted the appropriate certification form, the HR manager will complete and provide the employee with a written response to the employee's request for FMLA leave using the DOL Designation Notice.

P. Intent to Return to Work from FMLA Leave

On a basis that does not discriminate against employees on FMLA leave, the company may require an employee on FMLA leave to report periodically on the employee's status and intent to return to work.

II. Medical Leave Extension Policy

The purpose of this policy is to provide extended medical leave to employees who have exhausted their Family and Medical Leave Act (FMLA) leave but require additional time to recover from a serious health condition. This policy outlines the terms and conditions under which employees may receive extended leave and the continuation of insurance benefits. This policy applies to all eligible employees who have utilized their FMLA leave and require additional time off for medical reasons.

Smallwoods recognizes that employees may need additional time beyond the 12 weeks of FMLA leave to address significant medical conditions. In such cases, the company offers an additional 90 days of medical leave, totaling 180 days of leave from the initial date of FMLA leave.

A. Eligibility

To qualify for the extended medical leave under this policy, employees must:

1. Have exhausted their FMLA leave entitlement (12 weeks).
2. Provide appropriate medical documentation supporting the need for additional leave.
3. Be employed with Smallwoods at the time of the extended leave request.

B. Leave Extension

1. Initial Medical Leave: Employees may take up to 12 weeks of FMLA leave for a serious health condition.
2. Extended Medical Leave: Following the expiration of FMLA leave employees may request an additional 90 days of medical leave. This extension is available only once per rolling 12-month period.
3. Documentation: Employees must submit a written request for extended medical leave to the People Department, along with medical documentation, at least 30 days before the end of their FMLA leave, if possible.
4. Review: The People Department will review the request and medical documentation and provide written confirmation of the approved extended leave period.
5. Communication: Employees must maintain regular communication with the People Department during their extended leave period and provide updated medical information as required.

C. Insurance Premiums

1. Smallwoods will continue to pay the employee's insurance premiums during the extended leave period (up to 180 days total), provided the employee maintains their coverage as per the terms of the company's insurance plan.
2. The employee is responsible for paying their portion of any insurance premiums or contributions during the extended leave although the premium payments may be deducted from the employee's pay after returning to work.

D. Return to Work

1. Employees are expected to return to work at the end of the 180-day leave period or notify the company of their intent to return sooner.
2. If an employee does not return to work by the end of the 180-day period, their employment with Smallwoods will be terminated.
3. If the employee is unable to return to work and requires further leave, they may discuss alternative accommodations with Smallwoods as applicable.
4. Employees who return to work after the extended leave period will be reinstated to their previous position, or an equivalent position with equivalent pay and benefits, subject to the company's policies and operational requirements.

III. Other Disability Leaves

In addition to medical or pregnancy-related disability leaves described in Sections II and III, employees may take a temporary disability leave of absence, if necessary, to reasonably accommodate a workplace injury or a disability under the ADA or any applicable State or local disability laws. Any disability leave under this section will run concurrently with any medical leave to which the employee is entitled to.

Disability leaves under this section will be unpaid.

Employees taking disability leave must comply with the Family Care, Medical and Military Family Leave provisions regarding substitution of paid leaves, notice, and medical certification. For the purpose of applying these provisions, a disability leave will be considered to be a medical leave.

If a disability leave under this section extends beyond 12 weeks in a 12-month period, the employee will not be entitled to any continued employer contributions towards any employee benefit plan unless otherwise required by law. An employee, however, may elect to continue participating in such benefit plans, at the employee's own expense, to the extent permitted by such plans.

The duration of a leave under this section shall be consistent with applicable law, but in no event shall the leave extend past the date on which an employee becomes capable of performing the essential functions of their position, with or without reasonable accommodation. For a full explanation of leave duration and reinstatement rights, employees should contact the People Department.

IV. Other Leaves of Absence

Military Leave

The Company will grant employees a military leave of absence to the extent required by applicable federal and state law.

The law protects any employee who leaves work to complete military service for the U.S. Armed Forces and Reserves, National Guard, or employees who belong to the National Guard (i.e., the Texas Army National Guard and Texas Air National Guard), the Texas State Guard, and any other active militia or military force organized under state law are called to duty or authorized training by the governor or other proper authority.

Leaves under this section are unpaid. The leave time will not result in loss of time, pay not specifically related to leave of absence time, regular leave or vacation, or impairment of efficiency rating.

If an employee voluntarily quits work to move with their spouse, who is a member of the US armed forces and whose permanent change of station is longer than 120 days or whose tour of duty is longer than one year, the employee is not disqualified from unemployment benefits.

Upon satisfactory completion paperwork presented to the Company, the employee is entitled to be restored to their former or similar position with no loss of benefits or seniority. To be eligible for reemployment, however, an employee must, as soon as practicable after release from duty, give written or actual notice of intent to return to employment.

During military leave, you may elect to continue to participate in Smallwood's insurance benefits. You will be responsible for making your monthly premium contribution for applicable plans. Premium payments must be received by Smallwoods on or before the first of each month.

Questions regarding military leave under this policy should be directed to the People Department.

Jury Duty

If an employee is called for jury duty or called to appear in court pursuant to a valid subpoena, Smallwoods will grant the employee leave in accordance with applicable law.

Such time off will be unpaid.

However, exempt employees who work any portion of a workweek in which they also serve on jury duty will receive their full salary for that workweek. Employees may elect to substitute available PTO during any unpaid leave due to jury duty appearance.

Employees should inform their supervisor promptly following the receipt of notice to appear in order that work schedules may be revised.

Upon completion of jury duty, a verification of attendance from the court must be provided to Smallwoods. Employees excused from service or if excused early, are required to return to work, unless they have taken the time as a PTO day.

Voting Time Off

The Company encourages all employees to exercise their voting privileges in local, state, and national elections. However, since the polls are open for long periods, employees are encouraged to vote before or after regular working hours. Employees who do not have sufficient time outside of their regular working hours to vote may request time off to vote. If possible, employees should make their request at least two days in advance of the election.

Political Leave

The Company will not terminate or otherwise discriminate against employees if they take a leave from work in order to attend a precinct convention or attend a county, district or state convention as a delegate; however, such leave may be unpaid.

Emergency Evacuation Leave

Employees will not be subject to termination, demotion, suspension, or any other adverse employment action for leaving work in order to participate in a general public evacuation ordered under an emergency evacuation order.

An *emergency evacuation order* is an official statement issued by the governing body of Texas or a political subdivision Texas to recommend the evacuation of all or part of the population of an area stricken or threatened with a disaster. Orders by mayors or county government officials could fall within the reach of the law.

A *disaster* includes the occurrence or imminent threat of widespread or severe damage, injury, or loss of life or property that results from a natural or man-made cause, including fire, flood, earthquake, wind, storm, wave action, oil spill or other water contamination, volcanic activity, epidemic, air contamination, blight, drought, infestation, explosion, riot, hostile military or paramilitary action, or other public calamity requiring emergency action, or an energy emergency.

Employees are entitled to reinstatement from this leave to the previous position before taking such leave or an equivalent position with commensurate pay.

The law does not apply to emergency services personnel if the employer provides adequate emergency shelter, or to any person necessary to provide for the safety and well-being of the general public, including a person necessary for the restoration of vital services.

Witness Leave

The company will permit employees to take a reasonable amount of time off work to comply with a valid subpoena to appear in a civil, criminal, legislative or administrative proceeding.

This leave is unpaid.

Bereavement Leave

Employees who wish to take time off due to the death of a family member must notify their supervisor immediately. See Appendix A for a chart of Smallwoods Bereavement Leave policy.

- For the death of an employee's spouse, domestic/civil-union partner, parent, child or grandchild or Employee's spouse's child or grandchild, up to **forty (40) hours** of paid bereavement leave will be provided to Regular Full-Time Employees, using the employee's base pay rate at the time of absence.
- For the death of an employee's grandparents, child's spouse, sibling or Employee's spouse's parents or child's spouse, up to **twenty-four (24) hours** of paid bereavement leave will be provided to Regular Full-Time Employees, using the employee's base pay rate at the time of absence.
- For the death of an employee's aunt, uncle, sibling's spouse, or Employee's spouse's sibling or grandparent, up to **sixteen (16) hours** of paid bereavement leave will be provided to Regular Full-Time Employees, using the employee's base pay rate at the time of absence.
- For the death of an employee's cousin, niece or nephew, or an Employee's spouse's sibling's spouse, aunt, or uncle, up to **eight (8) hours** of paid bereavement leave will be provided to Regular Full-Time Employees, using the employee's base pay rate at the time of absence.
- For the death of a friend or co-worker, **eight (8) hours** of un-paid bereavement leave will be provided to Regular Full-Time Employees.

Parents include natural parents, stepparents, and guardians. Children include natural children, stepchildren, fostered and adopted children.

Paid Bereavement leave will customarily be granted, subject to verification of the family member's passing and relationship to the employee. Employees may also, with their supervisor's approval, use available PTO for additional time off as necessary.

Maternity/Paternity and Adoption/Foster Care Leave

After 1 year of employment, employees receive 80 hours in addition to their accrued PTO for Maternity/Paternity leave for post-birth bonding or for placement of a son or daughter with the employee for adoption or foster care.

Personal Leave of Absence Policy

In its sole discretion, the Company may grant a personal leave of absence for a compelling personal reason that does not fall within another leave category. Employees who have completed at least one year of continuous service may submit a written request to the People Department for a personal leave of absence or vacation, without pay, for any length of time up to a maximum of three (3) months. Written requests must state the reason for the leave, as well as the beginning and ending dates. Requests for personal leaves will be granted at the sole discretion of the Company, based on the facts

and circumstances surrounding each individual request.

The Company is not able to guarantee reinstatement following return from a personal leave of absence. The Company will make reasonable efforts to place the employee in a suitable vacancy if one exists. Such employees may be terminated or denied reinstatement if business necessity requires that the employee be replaced during the leave or if the employee is terminated or the position is eliminated due to a layoff, reorganization, or other intervening cause.

While on personal leave, employees with health insurance will be required to continue paying their customary share of premiums for medical coverage for the duration of the leave. Payments must be made by the first day of each month. With fifteen days' notice, the Company can cancel the coverage of employees who fail to make timely premium payments or else elect to pay the premiums and recover them from the employee upon return to work, or upon termination, as permitted by law.

Employee Benefits

The Company provides benefits as described in general terms below. The terms on which benefits are made available to employees are set forth in the governing plan documents. In the event of a conflict between the following descriptions and the terms of the plan documents, the plan documents will control. This handbook is not a plan document and does not create any enforceable rights with respect to benefits or otherwise. The Company reserves the right to eliminate or modify any of its benefits at any time without prior notice. Employees who have any questions regarding benefits should contact the Director of People.

I. Insurance Benefits

A. Workers' Compensation Insurance

Smallwoods maintains workers' compensation insurance to provide compensation and certain medical benefits to employees as a result of workplace injuries or illnesses. To assure proper protection, any accident that occurs on the job must be reported as soon as possible to your supervisor, Safety Coordinator or Director of People even if there are no injuries apparent at the time. Forms for this purpose are available from your supervisor.

Any leave of absence due to a workplace injury runs concurrently with all other Company leaves of absence. Employees who need to miss work due to a workplace injury must also request a formal leave of absence. See the Leave of Absence sections of this handbook for more information.

The Company does not provide workers compensation benefits, or accept any liability, for any illness or injury that arises from an employee's voluntary participation in any off-duty recreational, social, or athletic activity or event that is not an expected or required as part of the employee's work-related duties. Employees who choose to participate in any such off duty activities may be required to sign a written agreement to confirm that they are voluntarily assuming the risk of injury or illness and releasing the Company from any such liability.

B. Long-Term and Short-Term Disability Insurance (Company-Provided Benefit)

All employees classified by the Company as full-time employees currently are eligible to participate in the Company's short- and long-term disability insurance plan. The insurance company makes all benefit and eligibility determinations.

C. Medical, Dental, and Vision Insurance

The Company offers individual health, vision, and dental insurance benefits for its workers. Eligible employees may begin these coverages on the first day of the month following 30 days of full-time employment. Information about the Company's health plan(s), including premium cost and dependent eligibility is available from the People Department.

D. Life Insurance

All employees classified by the Company as regular full-time employees currently are eligible for group life insurance on the first day of the month following 30 days of full-time employment. The premium cost will be provided to you separately. You also can contact the People Department to obtain the current premium schedule. You may be taxed on a portion of the value of this coverage under IRS rules.

E. Accidental Death and Dismemberment

All employees classified by the Company as regular full-time employees currently become eligible for accidental death and dismemberment insurance on the first day of the month following 30 days of full-time employment. The premium cost will be provided to you separately. You also can contact the People Department to obtain the current premium schedule.

F. Premium Payments for Employees on Leave

While on paid leave, the Company will continue to make payroll deductions to collect the employee's share of the premium. The Company will pay the employer's portion of premiums for continuation of Company-sponsored group health plan benefits during the first 90 days of any authorized leave. Thereafter, the employee may only continue coverage under the Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA) and must pay the full cost of doing so.

If an employee is on an approved FMLA, the Company will permit the employee to continue coverage under Company-sponsored group health plans by paying only the amount charged to similarly situated active employees. If an employee does not return to work at the expiration of an FMLA leave, regardless of whether they continued coverage during the FMLA leave, they normally will be eligible to elect COBRA continuation coverage with respect to Company-sponsored group health plans, with the COBRA qualifying event normally being the expiration of the leave.

G. Conversion/Post-Employment Insurance Options

Pursuant to COBRA, eligible employees and their dependents may be entitled to continue certain benefit coverage after employment with the Company ceases or certain other qualifying events occur. COBRA information is provided separately. In addition, you also can contact the People Department to obtain COBRA information.

H. Insurance Coverage Information

Eligibility requirements and further information concerning insurance coverage are fully explained in the applicable plan documents, summary plan descriptions, and any applicable summaries of material modification, available from the People Department. In all cases, however, the applicable plan document controls over any summary or other communication for purposes of determining your rights and benefits.

II. Retirement Program

The Company currently maintains a 401(k) plan that is generally available to all employees on the first

day of each quarter (January 1, April 1, July 1, October 1) following 30 days of full-time employment. All contributions to the retirement plan are subject to limitations imposed by the Internal Revenue Code.

Employees will be automatically enrolled in the Smallwoods 401(k) Plan with 3% of their eligible compensation withheld from their paycheck and contributed to their 401(k) account unless they choose to opt out.

Employees have the option to opt out of participating in the 401(k) plan within 30 days of their automatic enrollment date. To opt out, employees must complete and submit the required opt-out form to the People Department prior to the effective enrollment date. If an employee opts out, no further contributions will be made to their 401(k) account, and the automatic enrollment will be canceled.

For information about the retirement plan, employees should refer to the official plan document, the summary plan description, and any applicable summaries of material modification, available from the People Department.

III. Employee Assistance Program

A. Purpose of Guideline

The Company recognizes that personal problems may have a negative impact on an employee's attendance, job performance, or behavior at work. The Company also recognizes that everyone may occasionally benefit from professional assistance with personal problems. Accordingly, the Company provides an Employee Assistance Program (EAP) for employees. This program is administered by United HealthCare. The EAP provides confidential and professional counseling and when appropriate, referral to other services to deal with personal problems, such as chemical dependency, marital or family conflict, and emotional problems. The EAP is offered to enhance personal well-being and as a means of improving individual attendance, performance, and productivity.

All counseling through this program is on a voluntary basis. Employees who suspect they may have an alcohol, drug, emotional, marital, family, or other personal problem, even in the early stages, should contact the EAP, seek a diagnosis, and follow through with the program as prescribed by qualified professionals. Although employees are encouraged to use the EAP, participation in the program does not relieve employees of their obligation to perform their work in a satisfactory manner and to comply with other Company rules and guidelines including the Company's Drug-Free Workplace guideline.

B. Eligibility

The EAP is offered to all employees and members of their immediate families. For purposes of this Guideline, the phrase "members of their immediate families" means the employee's spouse, registered domestic partner, dependent children and stepchildren, and adult children living at home.

C. Counseling and Referral Services

The EAP program provides for up to five paid EAP sessions per problem per year, as clinically appropriate, for employees and members of their immediate families. These sessions include problem assessment, professional consultation, counseling, information, and/or referral. EAP counseling is typically a three-stage process that includes: (1) clarifying the problem; (2) identifying the possible

solutions; and (3) developing an action plan. If the action plan calls for treatment by another resource, participating employees will be responsible for paying those fees. To determine whether the Company's group health plan may cover some of those costs, employees should contact the Director of People. EAP brochures that describe the program in more detail are available through supervisors or the People Department.

D. Use of the EAP

Employees should make every effort to schedule EAP appointments before or after working hours, or during meal periods. EAP appointments scheduled during working hours will be treated the same as medical appointments and may be charged against sick leave. In order to protect the confidentiality of the program, employees may refer to EAP appointments as "medical appointments" when filling out time cards or obtaining permission to be absent.

E. Self-Referral

Any employee or member of their immediate family who desires confidential assistance for a personal problem should call Dave Hileman, People Advocate and Encourager at (812) 306-6738. Assistance is available seven days a week, 24 hours per day. The EAP will arrange for a counselor to see the individual for confidential consultation or will provide limited counseling by telephone.

F. Supervisor Referral

Supervisors may refer employees to the EAP when they believe that an attendance, behavior, or work performance problem may be the result of a personal problem. Even in this situation, all counseling through the EAP is on a voluntary basis. The Company may take such steps as it deems appropriate in response to the underlying attendance, behavior, or work performance problem.

G. Confidentiality

All EAP records and services are treated as confidential. The EAP will not share information concerning an individual's involvement in the program without the individual's written permission unless life, safety, or national security is seriously threatened, or disclosure is otherwise required by law.

If an employee is referred to the EAP by the employee's supervisor because of an attendance, behavior, or work performance problem, the EAP will confidentially inform the supervisor whether the employee attends the EAP session(s) and cooperates with the counseling plan. However, no further information will be shared by the EAP without the employee's written permission.

H. Questions Regarding EAP Program

Questions regarding EAP services should be directed to the People Department, or the individual designated as a Company EAP contact in other locations.

IV. Other Benefits

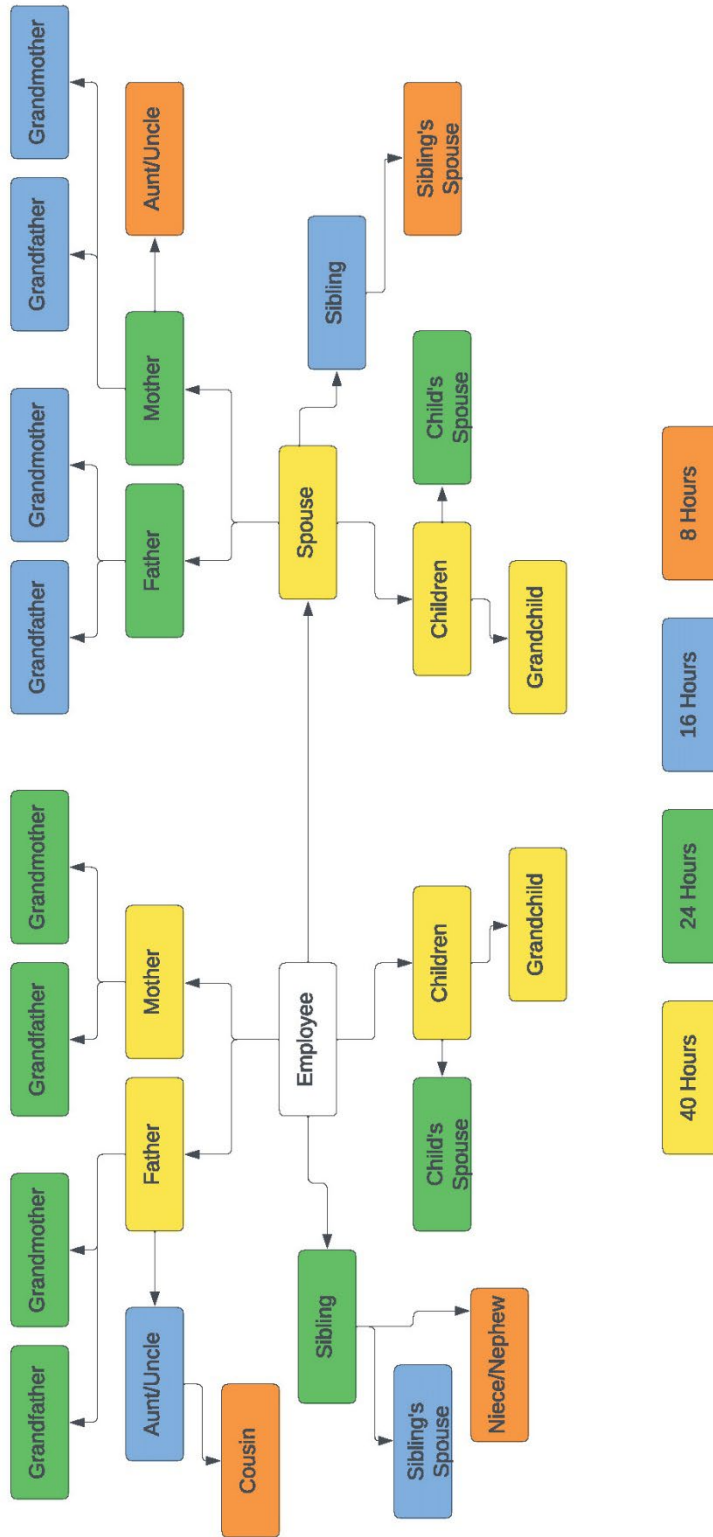
In addition to the above, the Company also provides or makes available the following benefit to eligible employees following 90 days of continuous employment.

- Employee Discounts.

Additional information on these benefits can be obtained from the People Department.

APPENDIX A

Smallwoods Bereavement Policy



Father and Mother includes natural parents, step-parents and guardians.
 Children includes natural children, step-children, fostered and adopted children.

ACKNOWLEDGMENT OF RECEIPT OF HANDBOOK

PLEASE READ THE EMPLOYEE HANDBOOK AND FILL OUT AND RETURN THIS PORTION TO THE PEOPLE DEPARTMENT [or if delivered via an electronic format: CLICK ON THE BOX AS INDICATED, TYPE YOUR NAME AND DATE, AS APPLICABLE, AND HIT "ENTER"] WITHIN ONE WEEK OF EMPLOYMENT.

Employee Name: _____

I acknowledge that I have received a copy of the Company's Employee Handbook. I understand that I am responsible for reading the Handbook and for knowing and complying with the policies set forth in the Handbook during my employment with the Company.

I further understand, however, that the guidelines contained in the Handbook are guidelines only and are not intended to create any contractual rights or obligations, express or implied, and shall not be construed to create any type of right to a "fair procedure" prior to termination or other disciplinary action. I also understand that, except for the Company's at-will employment policy, the Company may amend, interpret, modify, or withdraw any of the provisions of the Handbook at any time in its sole discretion, with or without notice. Furthermore, I understand that, because the Company cannot anticipate every issue that may arise during my employment, if I have any questions regarding any of the Company's guidelines or procedures, I should consult the Company's People Department.

I understand and agree that my relationship with the Company is "at-will," which means that my employment is for no definite period and may be terminated by me or by the Company at any time and for any reason, with or without cause or advance notice. I also understand that the Company may demote or discipline me or otherwise alter the terms of my employment at any time at its sole discretion, with or without cause or advance notice.

I understand and agree that the terms of this Acknowledgment may not be modified or superseded except by a written agreement signed by the President of the Company, that no other employee or representative of the Company has the authority to enter into any such agreement, and that any agreement to employ me for any specified period of time or that is otherwise inconsistent with the terms of this Acknowledgment will be unenforceable unless in writing and signed by the President of the Company. I further understand and agree that if the terms of this Acknowledgment are inconsistent with any guideline or practice of the Company now or in the future, the terms of this Acknowledgment shall control.

Finally, I understand and agree that this Acknowledgment contains a full and complete statement of the agreements and understandings that it recites, that no one has made any promises or commitments to me contrary to the foregoing, and that this Acknowledgment supersedes all previous agreements, whether written or oral, express, or implied, relating to the subjects covered in this Acknowledgment.

I have carefully read this Acknowledgement of Receipt.

Date: _____ Signed: _____

California Addendum

Equal Employment Opportunity

Additional protected classes for California are the following: race (including hair texture and natural hair styles), reproductive health decision-making, and HIV/AIDS status. In addition to applying to this policy, these protected classes also apply to the Policy Against Harassment, Discrimination, and Retaliation, and the Dress and Grooming Standards Policies.

Policy Against Harassment, Discrimination and Retaliation

Reporting and Investigating Harassing, Discriminatory and Retaliatory Conduct

In addition to notifying the Company about harassment, discrimination or retaliation complaints, affected employees may also direct their complaints to the California Civil Rights Department (CRD), which has the authority to conduct investigations of the facts. The deadline for filing complaints with the CRD is three years from the date of the alleged unlawful conduct. If the CRD believes that a complaint is valid and settlement efforts fail, the CRD may file a lawsuit in court. The courts have the authority to award monetary and non-monetary relief in meritorious cases. Employees can contact the nearest DFEH office at the locations listed in the Company's CRD poster or by checking the CRD's website <https://calcivilrights.ca.gov/resources> or the State Government listings in the local telephone directory. The CRD Internet Web site address, where employees may locate sexual harassment online training courses developed by the CRD, is <https://calcivilrights.ca.gov/resources>.

Anti-Harassment Training

In keeping with the Company's commitment to a professional work environment free of unacceptable harassment (whether unlawful or not), the Company requires that every employee undergo interactive sexual harassment training as follows:

- All employees shall undergo at least one (1) hour of such training within six (6) months of hiring and at least every two (2) years thereafter.
- Employees hired as, or promoted to, a supervisory or management position must undergo at least two (2) hours of interactive sexual harassment training at least once every two (2) years
- Temporary workers: If the worker is providing services to the Company through a third-party temporary services provider, such provider is obligated to properly train the worker. Where no third-party provider is involved, temporary workers engaged for fewer than six (6) months must undergo one (1) hour of training by the Company either (i) within the 30-calendar-day period after their hire date, or (ii) by the point when they have worked 100 hours, whichever occurs first.

Among the topics addressed by the Company's interactive anti-harassment training are the prevention of abusive conduct in the workplace and of harassment based on gender identity, gender expression, and sexual orientation.

An employee who fails to comply with this section may be subject to disciplinary action, up to and including termination of employment.

Employment of Minors

The Company will not employ any person under the age of 16. Employees in California under age 18 are considered minors and may be employed only under the following guidelines.

Work Permit

Employees under 18 years of age are required by law to provide a valid Work Permit, High School Diploma, or Certificate of Proficiency, before they will be allowed to work. A minor must obtain a work permit for each job. A work permit is no longer valid when a minor quits or leaves a job. All work permits in the state of California expire five (5) days after the opening of school in the fall to ensure all minors report to school. A minor employee must obtain a new work permit for the new school year even though it is for the same continuing job.

Work Restrictions

The duties and days and hours of work by minors are restricted by the terms and conditions of the Work Permit, as well as the provisions of California and federal law.

Hours of Work, Overtime, and Pay Day

Day of Rest

The Company provides all employees at least one day's rest in each workweek. Employees are entitled, encouraged, and expected to take their days of rest provided under this policy.

Exceptions to the day-of-rest requirement will be made only in the following situations:

- When employees work no more than six hours on any one day, and no more than 30 hours total, in the workweek.
- When employees are required to work on emergencies.
- When the nature of the employment reasonably requires employees to work seven or more consecutive days, if in each calendar month the employee receives the equivalent of one day's rest for every seven days worked (i.e., total month's calendar days divided by seven equals the number of required rest days for that month).

No supervisor or manager may impede or discourage employees from taking their days of rest provided under this policy. Employees who believe that they were not provided a day or days of rest that comply with this policy should inform their supervisor or manager, and (if not corrected) Human Resources immediately.

Meal and Rest Breaks

Rest Periods

The Company authorizes and permits nonexempt employees working at least three and one-half hours in a day to take a ten-minute, off-duty, uninterrupted paid rest period for each four hours worked or major fraction thereof. The 10 minutes do not include the reasonable time it takes to walk to and from the closest break area (whether or not the employee takes their break in that break area). Employees who work more than six hours in a day are authorized and permitted to take a second off-duty, uninterrupted rest period. Employees who work more than 10 hours in a day are authorized and permitted to take a third off-duty, uninterrupted rest period. Employees should take their rest periods in the middle of each work period to the extent it is practicable to do so, and not combine them with meal periods or skip them to leave work early.

Employees who believe that were not provided the opportunity to take all rest periods authorized and permitted under this policy should inform their supervisor or manager, and (if not corrected) Human Resources immediately.

Meal Periods

The Company provides employees who work more than five hours in a day with an unpaid 30-minute, uninterrupted meal period starting no later than the end of the fifth hour of work. The Company provides employees who work more than 10 hours in a day with a second unpaid 30-minute, uninterrupted meal period starting no later than the end of the 10th hour of work. Employees who work no more than six hours in a day may waive the first meal period. Employees who work no more than 12 hours in a day may waive the second meal period if they took their first meal period.

Employees who use a time clock must clock out for their meal periods. Employees are expected to clock back in and promptly return to work at the end of any meal period. Employees who record their time manually must accurately record their meal periods by recording the beginning and end of each work period.

Meal and Rest Periods Are Encouraged

Employees are entitled, encouraged, and expected to take all meal periods provided under this policy and not waived, and all rest periods provided under this policy. During meal periods and rest periods, the Company will relieve employees of all duty and will not exercise control over employees' activities. Employees are free to spend their meal period and rest period time as they choose and are not required to remain on-premises or "on-call" during off-duty meal periods and rest periods. Employees who have work-issued pagers or phones should turn those devices off while taking meal periods and rest periods. Employees should not visit or socialize with employees who are working while they are taking a rest break or meal period.

No Company manager or supervisor may impede or discourage employees from taking meal periods and rest periods provided under this policy.

Overtime

All nonexempt employees who work more than eight (8) hours in one workday or more than forty (40) hours in one workweek will receive overtime pay computed as follows:

- 1) Overtime at the rate of 1 ½ times the employee's regular rate of pay for all hours worked in excess of forty (40) in any one workweek.
- 2) Overtime at the rate of 1 ½ times the employee's regular rate of pay for all hours worked in excess of eight (8) hours in any one workday up to twelve (12) hours, and for the first eight (8) hours worked on the seventh day of work in any one workweek.
- 3) Overtime at the rate of double the employee's regular rate of pay for all hours worked in excess of twelve (12) in one workday, and for all hours worked in excess of eight (8) on the seventh day of work in one workweek.

Reporting Pay

Nonexempt employees who report to work at the Company's request, or who are required to call into work up to two hours prior to their shift, but are furnished less than half of their usual or scheduled day's work, will be paid for half the usual or scheduled day's work, but not less than two hours' pay or more than four hours' pay at their regular rate, without regard to the number of hours they actually worked, unless the reasons for the lack of work are beyond the Company's control. Reporting time pay will not be paid to an employee on paid standby status who is called to perform assigned work at a time other than the employee's scheduled reporting time. Reporting time hours are not counted as "hours worked" for overtime purposes beyond the time in which work actually is performed. For example, if an employee who is scheduled to work an eight-hour shift is sent home after three hours, the employee

will receive four hours' pay for that day, but the fourth hour of reporting time pay will not be treated as time worked for overtime purposes.

Callback Pay

A nonexempt employee who is called back for a second work period in a workday and is given less than two hours' work will be paid a minimum of two hours' pay at the employee's regular rate of pay for the second work period, without regard to the number of hours actually worked, unless the reasons for any failure to furnish two hours of work are beyond the Company's control. Callback time is not counted as "hours worked" for overtime purposes beyond the time in which work actually is performed.

Payment on Resignation, Termination, or Completion of Assignment or Term

If an employee resigns, their paycheck will be available on the final day of work, provided the employee has given at least 72 hours' prior notice. If an employee resigns without giving 72 hours' notice, their paycheck will be made available at the office at which the employee was performing services within 72 hours after the employee gives notice of the resignation, unless the employee requests in writing that their final paycheck be mailed, in which case the Company will mail the final paycheck within three days after the employee gives notice. Employees who are terminated involuntarily will be paid on the day of the discharge. If an employee is hired for a specific assignment or otherwise has a defined term of employment, their paycheck will be available upon the completion of the assignment or employment term. In all cases, employees' final paychecks will include payment for all wages owed and any accrued but unused vacation time.

Personnel Records

Employees have the right to inspect their personnel files at reasonable times and on reasonable notice. In addition, employees have the right to request copies of all employment-related documents that they have signed. An employee may inspect only their own personnel file and only in the presence of the Human Resources Manager.

Employees and former employees also have the right to inspect and copy certain Company payroll records regarding their compensation, and deductions from their compensation, upon reasonable request to the Company. Employees wishing to review or copy payroll records should notify the Human Resources Department.

Lactation Accommodation

Lactation accommodations, as required by law, provide a reasonable break time to accommodate an employee desiring to express breast milk for the employee's infant. Such break time will, if possible, run concurrently with any break time already provided by the Company for an employee. The Company will make reasonable efforts to provide the employee with the use of a remote location, other than a toilet stall, in close proximity to the employee's work area for the purpose of expressing breast milk in private, locked room. The room or location may include a place where the employee normally works.

The room or location will:

- Be shielded from view and free from intrusion while the employee is expressing milk.
- Be safe, clean, and free of hazardous material.
- Contain a surface to place a breast pump and personal items.
- Contain a place to sit.
- Have access to electricity or alternative devices, including, but not limited to, extension cords or charging stations, needed to operate an electric or battery-powered breast pump.

The Company will also provide access to a sink with running water and a refrigerator suitable for storing milk in close proximity to the employee's workspace. If a refrigerator cannot be provided, an employer may provide another cooling device suitable for storing milk, such as an employer-provided cooler. A lactation location may be designated as temporary, due to operational, financial, or space limitations. When a multipurpose room is used for lactation, lactation purposes must take precedence over the other uses for the room. The Company expressly prohibits retaliation against lactating employees for exercising their rights under this policy.

Should you require lactation accommodations following a return from pregnancy leave, please advise the Human Resource Manager so that accommodations may be made.

Safety Program

The Company has instituted an Injury and Illness Prevention Program designed to protect the health and safety of all personnel.

Vacation/PTO State Policies

Vacation/PTO Pay on Termination

On termination of employment, employees are paid all accrued but unused vacation through their last day worked at their base rate of pay at the time of termination.

Sick Leave

Accrual Method

In order to help prevent loss of earnings that may be caused by accident or illness, the Company has established paid sick leave.

Please note: Certain cities/counties in California have separate paid sick leave ordinances that may provide different benefits to employees. When such benefits are more advantageous to employees, the provisions of such ordinances will prevail over any contrary terms in this policy. Employees should contact their Human Resources Department for more information and to learn if any such local ordinances apply to them.

I. Eligibility

An employee qualifies to accrue paid sick leave under this policy upon the start of the employee's employment. In addition, employees may take paid sick leave accrued under this policy if they have worked for the Company for at least 90 calendar days.

II. Leave Benefit

Employees accrue one hour of paid sick leave for every 30 hours of work performed. Unless a local ordinance requires otherwise, employees may not accrue more than 48 hours or six regularly scheduled workdays of paid sick leave, whichever is greater, at any given time. Employees who reach the applicable cap will cease to accrue further paid sick leave hours until paid sick leave is used, at which point the employee will continue to accrue additional paid sick leave up to the cap. Paid sick leave not used in a year otherwise carries over from year to year.

III. Leave Usage

Employees may take the greater of 24 hours or three regularly scheduled workdays' worth of paid sick leave per leave year for any of the qualifying reasons discussed below, as well as any reasons allowed for under an applicable local paid sick leave ordinance. For the purposes of this policy, the leave year is the employee's anniversary year.

Paid sick leave may be used for the diagnosis, care (including preventive care), or treatment of an existing health condition of an employee and certain family members of the employee.

A family member includes a child, parent, spouse, domestic partner, grandparent, grandchild, sibling, or designated person. For purposes of this policy, a "child" means a biological or adopted child, a foster child, a stepchild, a legal ward, or a child to whom the employee stands in *loco parentis*. Similarly, a "parent" under this policy means a biological or adoptive parent, a foster parent, a stepparent, an employee's legal guardian, a legal guardian of an employee's spouse or domestic partner, or a person who stood in *loco parentis* when the employee was a minor child. A "designated person" under this policy can be identified at the time of the request, and an employee may designate one person within a 12-month period for paid sick leave.

Employees who are victims of domestic violence, sexual assault, or stalking also may use paid sick leave for treatment, assistance, and other purposes authorized by law.

Employees using paid sick leave must do so in minimum increments of two hours. If an employee has exhausted all available sick leave under this policy, the Company reserves the right to apply accrued Vacation or PTO for any absences related to the outlined sick leave usage above. Employees will be paid for sick leave not later than the payday for the next regular payroll period after the sick leave was taken. Finally, an employee will not be required to search for or find a replacement if the employee is taking paid sick leave under this policy.

IV. Compensation for Sick Leave

Paid sick days ordinarily are paid at the employee's normal rate of pay earned during regular work hours. Accrued, unused paid sick leave is not paid out upon termination or resignation. However, employees separating from employment who are rehired within one year from the date of separation will have their previously accrued and unused paid sick days reinstated. The employee also will begin accruing paid sick leave upon re-hire (assuming the employee's bank is below the applicable cap). In addition, if the employee is re-hired within one year from the date of separation, any number of days that the employee previously worked for the Company will be credited toward the 90 calendar days that an employee must have worked for the Company before being eligible to use paid sick leave under this policy.

V. Approval

If the need for paid sick leave is foreseeable (e.g., scheduled routine medical appointments), the employee must provide reasonable advance notice. If the leave is not foreseeable, the employee must provide notice of the leave as soon as practical. When requesting sick leave, employees should not disclose any private medical information or any other confidential personal information.

VI. Non-Retaliation or Discrimination

The Company strictly prohibits any form of retaliation or discrimination against an employee for attempting to use or using paid sick leave under this policy, and for any other reason prohibited by

applicable law. Employees who believe they have been discriminated or retaliated against should report their concerns to Human Resources.

Front Loading Method

In order to help prevent loss of earnings that may be caused by accident or illness, or by other emergencies, The Company has established paid sick and emergency leave policy.

I. Eligibility

All employees will receive 24 hours of paid sick leave to be used by the end of the calendar year. On January 1st each year, all employees will receive 24 hours of paid sick leave to be used in that calendar year. Unused paid sick leave will not carry over into the following year.

II. Use

New Hires may use paid sick days beginning on the 90th day of employment. Employees may determine how much sick leave they need to use in increments of at least two hours.

Paid sick leave may be used for the diagnosis, care (including preventive care), or treatment of an existing health condition of an employee and certain family members of the employee.

A family member includes a child, parent, spouse, domestic partner, grandparent, grandchild, sibling, or designated person. For purposes of this policy, a "child" means a biological or adopted child, a foster child, a stepchild, a legal ward, or a child to whom the employee stands in *loco parentis*. Similarly, a "parent" under this policy means a biological or adoptive parent, a foster parent, a stepparent, an employee's legal guardian, a legal guardian of an employee's spouse or domestic partner, or a person who stood in loco parentis when the employee was a minor child. A "designated person" under this policy can be identified at the time of the request, and an employee may designate one person within a 12-month period for paid sick leave.

The Company retains the right to request verification from a licensed health care provider for all absences due to illness or disability. If an employee has exhausted all available sick leave under this policy, the Company reserves the right to apply accrued Vacation or PTO for any absences related to the outlined sick leave usage above.

III. Compensation for Sick Leave

Eligible employees will receive pay at their normal base rate for any sick leave taken. No employee will receive pay in lieu of sick leave under any circumstances, and employees will not be paid for any unused sick leave upon termination of employment.

IV. Approval

Whenever possible (e.g., for a scheduled doctor's or dentist's appointment), employees must seek approval from their immediate supervisor prior to taking their sick leave. Otherwise, employees must notify their immediate supervisor as soon as practicable and, in no event, later than one hour after their scheduled starting time.

If the need for paid sick leave is foreseeable (e.g., scheduled routine medical appointments), the employee must provide reasonable advance notice. If the leave is not foreseeable, the employee must provide notice of the leave as soon as practical. When requesting sick leave, employees should not disclose any private medical information or any other confidential personal information.

V. Non-Retaliation or Discrimination

The Company strictly prohibits any form of retaliation or discrimination against an employee for attempting to use or using paid sick leave under this policy, and for any other reason prohibited by applicable law. Employees who believe they have been discriminated or retaliated against should report their concerns to Human Resources.

Leaves of Absence

Pregnancy-Disability Rights

A. Leaves of Absence and Transfers

Company recognizes that employees may be unable to work for temporary but extended periods of time due to pregnancy, childbirth, or related medical conditions ("Pregnancy-Disability"). Accordingly, for any employee who is disabled by pregnancy, childbirth, or related medical conditions, the Company provides Pregnancy-Disability leave for the period of actual disability, up to a maximum of four months. Pregnancy-Disability leave may be taken intermittently, or on a reduced-hours schedule, as medically advisable.

Moreover, an employee is entitled to a reasonable accommodation for pregnancy, childbirth, or related medical conditions if the employee so requests and provides the Company with medical certification from the employee's health care provider. In addition to other forms of reasonable accommodation, a pregnant employee is entitled to transfer temporarily to a less strenuous or hazardous position or to less hazardous or strenuous duties if the employee so requests, the transfer request is supported by proper medical certification, and the transfer can be reasonably accommodated.

B. Procedure for Requesting Pregnancy-Disability Leave or Transfer

Whenever possible, an employee should submit a written request for Pregnancy-Disability leave or Pregnancy-Disability transfer to the Human Resources Manager as soon as the employee is aware of the need for such leave or transfer. If the leave or transfer is foreseeable, the employee must provide 30 calendar days' advance notice to the Company of the need for Pregnancy-Disability leave or transfer. If it is not practicable for the employee to give 30 calendar days' advance notice of the need for leave or transfer, the employee must notify the Company as soon as practicable after the employee learns of the need for the Pregnancy-Disability leave or transfer.

If an employee fails to provide the requisite 30 days' advance notice for a foreseeable need for leave or transfer, without any reasonable excuse for the delay, the Company reserves the right to delay the taking of the leave until at least 30 days after the date the employee provides notice of the need for the leave or transfer.

Any request for a Pregnancy-Disability leave must be supported by medical certification from a health care provider, which shall provide the following information: (a) the date on which the employee became disabled due to pregnancy; (b) the probable duration of the period or periods of disability; and (c) an explanatory statement that, due to the disability, the employee is unable to work at all or is unable to perform any one or more of the essential functions of the position without undue risk to the employee, the pregnancy, or to other persons. In the case of a Pregnancy-Disability transfer, the medical certification shall provide the following information: (a) the date on which the need to transfer became medically advisable; (b) the probable duration of the period or periods of the need to transfer; and (c) an explanatory statement that, due to the employee's pregnancy, the transfer is medically advisable. Upon expiration of the time period for the leave or transfer estimated by the health care provider, the

Company may require the employee to provide another medical certification if additional time is requested for leave or transfer.

C. Substitution of Paid Leave for Pregnancy-Disability Leave

An employee taking Pregnancy-Disability leave must substitute any accrued sick pay for the leave and may, at their option, substitute any accrued vacation time for the leave. Except to the extent that paid leave is substituted for Pregnancy-Disability leave, the Pregnancy-Disability leave will be unpaid. The substitution of paid leave for Pregnancy-Disability leave does not extend the total duration of the leave to which an employee is entitled.

D. Leave's Effect on Benefits

During an employee's Pregnancy-Disability Leave, the Company will continue to pay for the employee's participation in the Company's group health plans, to the same extent and under the same terms and conditions as would apply had the employee not taken leave.

Thus, the employee must continue to pay their share of the health plan premiums during the leave. If the employee substitutes paid leave for the unpaid leave, such payments will be deducted from the employee's pay through the regular payroll deductions. Otherwise, the employee must make arrangements with the Company for the payment of such premiums.

All other benefits will be governed in accordance with the terms of each benefit plan and are the sole responsibility of the employee.

The Company may recover from the employee the premium that the Company paid to maintain coverage for the employee under the group health plan if the employee fails to return from leave after the period of leave has expired and the employee's failure to return is for a reason other than: (i) the employee is taking leave under the California Family Rights Act; (ii) the continuation, recurrence, or onset of a health condition that entitles the employee to leave for Pregnancy Disability, or other circumstances beyond the employee's control.

Employees on Pregnancy-Disability leave will accrue employment benefits, such as sick leave, vacation leave, and seniority only when paid leave is being substituted for unpaid leave and only if the employee would otherwise be entitled to such accrual.

Employee benefits may be continued during the unpaid portion of the Pregnancy-Disability leave according to the provisions of the Company's various employee benefit plans.

E. Reinstatement After Pregnancy-Disability Leave or Transfer

The Company and the employee have already agreed upon the employee's return date, an employee who has taken a Pregnancy-Disability leave or transfer must notify the Human Resources Manager at least two business days before the scheduled return to work or, as applicable, transfer back to the former position. An employee who timely returns to work at the expiration of the Pregnancy-Disability leave will be reinstated to their former position, or a comparable position, whenever possible and consistent with applicable law.

Each employee who has taken a Pregnancy-Disability leave or transfer must be released by their doctor to return to work. The release should be in writing and submitted to the Human Resources Manager on or before the employee's return from a Pregnancy-Disability leave or transfer.

California Family Rights Act (CFRA)

A. Eligibility

To be eligible for CFRA leave, an employee must (1) have worked for the Company for at least twelve months prior to the date on which the leave is to commence; and (2) have worked at least 1,250 hours in the twelve (12) months preceding the leave.

B. Permissible Uses

An eligible employee may take an unpaid leave for the following reasons:

- To bond with an adopted or foster child, or to bond with a newborn;
- To care for the following family members with a serious health condition:
 - Parent or parent-in-law;
 - Current spouse or domestic partner;
 - Child (regardless of age or dependency status including the child of a domestic partner);
 - Grandparent or grandchild; or
 - Sibling (i.e.: a person related to another person by blood, adoption, or affinity through a common legal or biological parent).
- To care for a designated person, who may be designated at the time of requested leave, and once per 12-month period.
- For the employee's own health condition.

Fulltime employees may take leave of up to 12 work weeks in a 12-month period. Part-time employees may take leave on a proportional basis. The leave does not need to be taken in one continuous period of time.

Additionally, parents who work for the same Company are permitted to each take up to twelve (12) weeks of leave each for the care of a child newly born or placed with the family for adoption, or for care during a serious illness.

C. Substitution of Paid Leave

Employees are required to substitute accrued vacation time and other paid personal leave (except sick leave) for all family care, medical leaves, and military leaves. Employees are required to substitute sick leave only for the employee's own medical leaves. Employees may elect to substitute sick leave to attend to an illness of a child, parent, spouse or domestic partner of the employee or for other types of family care leave.

D. Leave's Effect on Pay

Except to the extent that other paid leave is substituted for family care, medical, and military family leave, leave under the CFRA is unpaid. However, employees may be entitled to California State Disability Insurance (SDI) when leave is taken for their own serious health condition.

Employees also may be entitled to Paid Family Leave (PFL) benefit payments for up to eight (8) weeks in any twelve-month period during leaves to care for qualifying family members. PFL provides a partial wage replacement for absences from work to care for a seriously ill or injured family member or for bonding with a minor child within one year of the birth or placement of the child in connection with foster care or adoption. Employee contributions provide funding for this program. PFL is administered like SDI by the California Employment Development Department. To the extent possible, PFL benefits must run concurrently with family care leave and do not entitle an employee to take any additional time

off. In addition, an employee must use up to two weeks of any accrued but unused vacation before the employee will be eligible to receive PFL.

E. Leave's Effect on Benefits

During an employee's CFRA leave, the Company will continue to pay for the employee's participation in the Company's group health plans, to the same extent and under the same terms and conditions as would apply had the employee not taken leave.

Thus, the employee must continue to pay their share of the health plan premiums during the leave. If paid leave is substituted for the unpaid leave, such payments will be deducted from the employee's pay through the regular payroll deductions. Otherwise, the employee must make arrangements with the Company for the payment of such premiums.

If the employee fails to pay their share of the premiums during leave, or if the employee fails to return from the leave at the expiration of 12 weeks (or 26 weeks in the case of a military caregiver leave) for a reason other than the recurrence, continuation, or onset of a serious health condition for which leave under this policy is allowed or other circumstances beyond the employee's control, the Company can recover any health plan premiums paid by the Company on the employee's behalf during any periods of the leave.

With regard to other employee benefit plans consisting of disability insurance plans, pension and retirement plans, and supplemental unemployment benefit plans, the Company will continue to pay for the employee's participation in such plans to the same extent and under the same conditions as apply to other leaves that are not family care, medical and military family leaves. Specifically, with regard to unpaid leaves under this policy: An unpaid leave taken for an employee's own serious health condition will be treated like other unpaid disability leaves; unpaid leaves taken for other qualifying family care or medical purposes will be treated like other unpaid personal leaves offered by the Company. Under any circumstances, however, leave taken for family care or medical leave or military family leave will not be treated as a break in service and will not result in the loss of seniority—even if other paid or unpaid leaves count as a break in service or result in a loss of seniority, or for layoffs, recalls, promotions, job assignments, or seniority-related benefits. Nor will the use of family care, medical or military family leave result in the loss of any employment benefit that accrued prior to the start of an employee's leave.

F. Procedure for Requesting California Family Rights Act Leave

1. Notice Requirements

Employees must notify the Company of their request for CFRA leave as soon as they are aware of the need for such leave. For foreseeable family care, medical, and military caregiver leave, the employee must provide 30 calendar days' advance notice to the Company of the need for leave. For events that are unforeseeable 30 days in advance, the employee must notify the Company as soon as is practicable and generally must comply with the Company's normal call-in or notice procedures. If the leave is requested in connection with a planned, non-emergency medical treatment, the employee must make an attempt to schedule such treatment so as to avoid unduly disrupting Company operations and may be requested to reschedule the treatment so as to minimize disruption of the Company's business. If an employee fails to provide the requisite 30-day advance notice for foreseeable events without any reasonable excuse for the delay, the Company reserves the right to delay the taking of the leave until at least 30 days after the date the employee provides notice of the need for family care or medical leave.

All requests for CFRA leave should include enough information to make the Company aware that the

employee needs qualifying leave, and the anticipated timing and duration of the leave, if known. Sufficient information may include that the employee is unable to perform job functions, the family member is unable to perform daily activities, the need for hospitalization or continuing treatment by a health care provider, or circumstances supporting the need for military family leave. Employees also must inform the Company if the requested leave is for a reason for which CFRA leave was previously taken or certified.

Any requests for extensions of leave under this policy must be received as soon as is practicable and must include the revised anticipated date(s) and duration of the leave. To the extent permitted by law, the Company reserves the right to deny requests for extensions or deny reinstatement to an employee who exceeds the leave amounts provided by this policy or fails to provide requested medical certification. In addition, if an employee has a disability, the employee may be eligible for leave under the Americans with Disabilities Act (ADA) or state law. For more detailed information on extended leaves, please contact.

Once the Company is aware of the employee's need for leave, it will inform the employee whether the employee is eligible under the CFRA. If the employee is eligible, the notice will specify any additional information required as well as the employees' rights and responsibilities. If the employee is not eligible, the Company will provide a reason for the ineligibility.

2. Certification

Any request for medical leave for an employee's own serious health condition, for family care leave to care for a child, spouse, domestic partner or parent with a serious health condition or for a serious injury, or for military caregiver leave must be supported by medical certification from a health care provider. For foreseeable leaves, employees must provide the required medical certification before the leave begins. When this is not possible, employees must provide the required certification within 15 calendar days after the Company's request for certification, unless it is not practicable under the circumstances to do so, despite the employee's good faith efforts.

The medical certification for a child, spouse, domestic partner, sibling, parent, parent-in-law or designated person with a serious health condition or for the serious injury or illness of a qualifying service member must include (a) the date on which the serious health condition or serious injury or illness commenced; (b) the probable duration of the condition or injury or illness; (c) the health care provider's estimate of the amount of time needed for family care; (d) the health care provider's assurance that the health care condition or injury or illness warrants the participation of the employee to provide family care; and (e) in the case of intermittent or reduced schedule leave where medically necessary, the probable duration of such a schedule.

The medical certification for leave for the employee's own serious health condition must include (a) the date on which the serious health condition commenced; (b) the probable duration of the condition; (c) a statement that, due to the serious health condition, the employee is unable to perform the essential functions of their position; and (d) in the case of intermittent leave or reduced schedule leave where medically necessary, the probable duration of such a schedule. In addition, the certification may, at the employee's option, identify the nature of the serious health condition involved.

Failure to timely provide the required certification may result in the denial of foreseeable leave until such certification is provided. In the case of unforeseeable leaves, failure to timely provide the required certification may result in a denial of the employee's continued leave. Where the employee's need for

leave due to the employee's own serious health condition, or the serious health condition of the employee's covered family member, lasts beyond a single leave year, the Company may require the employee to provide a new medical certification in each subsequent leave year. Any request for an extension of the leave also must be supported by an updated medical certification.

It is the employee's responsibility either to furnish a complete and sufficient certification or to furnish the health care provider providing the certification with any necessary authorization from the employee or the employee's family member in order for the health care provider to release a complete and sufficient certification to the Company to support the employee's leave request.

Where permitted by law, if the Company has a good-faith, objective reason to doubt the validity of the medical certification provided by the employee, the Company may require the employee to obtain a second opinion from a doctor of the Company's choosing at the Company's expense. If the employee's health care provider providing the original certification and the doctor providing the second opinion do not agree, the Company may require a third opinion, also at the Company's expense, performed by a mutually agreeable doctor who will make a final determination. It is the employee's responsibility to furnish their health care provider with the necessary authorization for the disclosure of medical information to the doctor(s) who will provide the second and third opinions. If the employee fails to provide the necessary authorization, the request for leave may be denied, in accordance with applicable law.

G. Designation of Protected Leave

Once the Company has enough information to determine whether the leave is CFRA -qualifying, the Company will inform the employee if leave will be designated as CFRA -protected and, if known at that time, the amount of leave that will be counted against the employee's leave entitlement. If the Company determines that the leave is not protected, the Company will notify the employee.

H. Recertification

The employee taking leave may be required to provide the Company with recertification at appropriate intervals. For purposes of recertification, the employer may request the same information as allowed by law for the original certification. As part of that request, the Company may provide the health care provider with a record of the employee's absence pattern to confirm whether such a pattern is consistent with the need for leave. The employee must provide the requested recertification within 15 calendar days of such a request, unless it is not practicable to do so despite the employee's diligent, good faith efforts.

I. Return to Work Certification

Where the leave is for the employee's own serious health condition, the Company requires employees to provide medical certification that the employee is released to return to work and able to do so. The Company may delay restoring the employee to employment or terminate the employee without such certificate.

J. Leave's Effect on Reinstatement

Employees timely returning from a leave covered under this policy are entitled to reinstatement to the same or equivalent position consistent with applicable law. An employee has no greater right to reinstatement than if the employee had been continuously employed rather than on leave. The Company will comply with all applicable laws pertaining to reinstatement of employees, including where required, the reasonable accommodation of employees who have been on an approved leave.

Leaves of Absence

Military Leave of Absence

The Company will grant employees a military leave of absence to the extent required by applicable federal and state law.

Jury and Witness Duty

Voting Time Off

Employees who do not have sufficient time outside of their regular working hours to vote in a statewide election may request time off to vote. If possible, employees should make their request at least two days in advance of the election. Up to two hours of paid time off will be provided, at the beginning or end of the employee's regular shift, whichever will allow the most free time for voting and the least time off work. Further, the Company will not discriminate or retaliate against an employee who is requesting time away from work while serving as an election officer.

Bereavement Leave

Employees will be allowed up to five (5) working days off to arrange and attend the funeral of an immediate family member. This leave must be taken within the first three (3) months of the family member's death. The time need not be consecutive.

For purposes of this policy an employee's immediate family is defined to include the employee's current spouse, current domestic/civil-union partner, parent, step-parent, or current parent-in-law, sibling or step sibling, children or step-children, grandparents, current grandparents in-law and grandchildren.

Employees will be paid their regular base rate of pay for each day of absence/This leave is unpaid. Employees may request the opportunity to use any accrued vacation/PTO/sick leave time or additional unpaid leave.

The Company will maintain the employee's privacy as to the nature of this leave, and will not engage in acts of discrimination, interference, or retaliation relating to an employee's use of this leave.

Leave Related To Domestic Violence, Sexual Assault or Stalking

Victims of domestic violence, sexual assault or stalking may take unpaid leave for up to 12 weeks to obtain help from a court, seek medical attention, obtain services from an appropriate shelter, program, or crisis center, obtain psychological counseling, or participate in safety planning, such as permanent or temporary relocation. The Company may require proof of the employee's participation in these activities. Whenever possible, employees must provide their supervisor reasonable notice before taking any time off under this policy. Employees may substitute any accrued vacation, sick, or other time off for the leave under this policy. Leave under this policy does not extend the time allowable under the "Family and Medical Leave" Policy in this handbook.

No employees will be subject to discrimination or retaliation because of their status as a victim of domestic violence, sexual assault or stalking. Victims of domestic violence, sexual assault or stalking may request other accommodations in the workplace such as implementation of safety measures.

Crime Victims' Leave

The Company will provide time off to an employee to attend judicial proceedings related to a crime, if that employee is a victim of crime, an immediate family member of a victim, a registered domestic partner of a victim, or the child of a registered domestic partner of a victim.

A victim means:

- A victim of stalking, domestic violence or sexual assault;
- A victim of a crime that caused physical injury or that caused mental injury and a threat of physical injury;
- A person whose immediate family member is deceased as the direct result of a crime; and
- Any person against whom any crime has been committed.

A crime means a crime or public offense that constitutes a misdemeanor or felony, regardless of:

- Where it takes place; and
- Whether any person is arrested for, prosecuted for or convicted of committing the crime.

The Company requires that where feasible, in advance of taking leave, the employee provide it with a copy of the notice of each scheduled proceeding that is provided to the victim by the agency responsible for providing notice. If advance notice is not possible, the employee is required to provide the Company with a copy of the notice within a reasonable time.

No employee who is absent from work pursuant to this provision will be discharged or otherwise discriminated against in compensation or other terms, conditions or privileges of employment, because of such absence. Such leave is unpaid. Employees taking leave under this policy may elect to apply vacation time to such leave.

Leave for Organ and Bone Marrow Donation

The Company will grant an employee the following paid leaves of absence for the purpose of organ or bone marrow donation:

- 1) A leave of absence of up to five days in any one-year period for the purpose of donating the employee's bone marrow to another person.
- 2) A leave of absence of up to 30 days in any one-year period for the purpose of the employee donating their organ to another person.

A leave of absence for the purpose of organ or bone marrow donation will be provided with pay, however, if an employee has earned and unused sick or vacation time available, the employee is required to first use up to five days of paid sick or vacation time for a bone marrow donation and up to two weeks of sick or vacation time for organ donation.

In order to receive a leave of absence pursuant to this policy, the employee must provide written verification to Human Resources that they are an organ or bone marrow donor and that there is a medical necessity for the donation of the organ or bone marrow.

Any leave taken for the donation of an organ or bone marrow will not constitute a break in service for purposes of the employee's right to salary adjustments, sick leave, vacation, annual leave, or seniority. During any leave taken under this policy, the Company will maintain and pay for coverage under any group health plan, for the full duration of this leave.

Leave provided under this policy may be taken in one or more periods.

Leave taken under this policy will not run concurrently with any leave taken pursuant to the federal Family and Medical Leave Act or the California Family Rights Act.

Upon expiration of a leave of absence authorized by this policy, the Company will restore the employee to the position held by the employee when the leave began or to a position with equivalent seniority status, employee benefits, pay, and other terms and conditions of employment. The Company may decline to restore an employee because of reasons unrelated to the exercise of rights under this policy by the employee.

Employee Benefits

California Disability Insurance (Provided by the State of California)

This plan provides for partial salary replacement coverage for lost wages for employees disabled due to a non-work-related illness or accident. It is funded by tax deductions from each employee's pay (SDI tax) and deposited to a state fund in your name by the Company. In order to qualify for California Disability Insurance payments, an employee must be sick or disabled for more than 7 days, including non-work days. This 7-day waiting period is waived if an employee is in the hospital on the first day of disability or if an employee is disabled for longer than 22 days.

The plan will pay a weekly benefit for up to one year or until the maximum benefit is exhausted. The State of California, not the Company, administers this plan and makes all benefit and eligibility determinations. For more information regarding California Disability Insurance, visit www.edd.ca.gov.

California Paid Family Leave Benefits

Employees who are off work to care for a child, spouse, parent, grandparent, grandchild, sibling, parent-in-law or registered domestic partner, with a serious health condition, or to bond with a new child, may be eligible to receive benefits through the California "Paid Family Leave" (PFL) program, which is administered by the Employment Development Department (EDD).

These benefits are financed solely through employee contributions to the PFL program. That program is solely responsible for determining if the employee is eligible for such benefits.

If employees need to take time off work to care for a child, spouse, parent, grandparent, grandchild, sibling, parent-in-law or registered domestic partner with a serious health condition or to bond with a new child, they must advise the Company, and they will be given information about the EDD's PFL program and how to apply for benefits. Employees also may contact their local EDD Office for further information. Employees should maintain regular contact with the Company during the time off work so the Company may monitor the employee's return-to-work status. In addition, the employee should contact the Company at when ready to return to work so the Company may determine what positions, if any, are open.

When the employee applies for PFL benefits, the Human Resources Department will determine if the employee has any accrued but unused vacation and personal days available. If the employee has accrued but unused time available, then the employee will be required to use up to two (2) weeks of such time before becoming eligible for PFL benefits.

Employees taking time off work to care for a child, spouse, parent, grandparent, grandchild, sibling, parent-in-law or domestic partner with a serious health condition or to bond with a new child are not guaranteed job reinstatement unless they qualify for such reinstatement under federal or state family and medical leave laws.

Any time off for Paid Family Leave purposes will run concurrently with other leaves of absence, such as Family and Medical Leave/California Family Rights Act Leave, if applicable. Please see the "Family and Medical Leave/California Family Rights Act" policies in this handbook for eligibility requirements, if applicable.